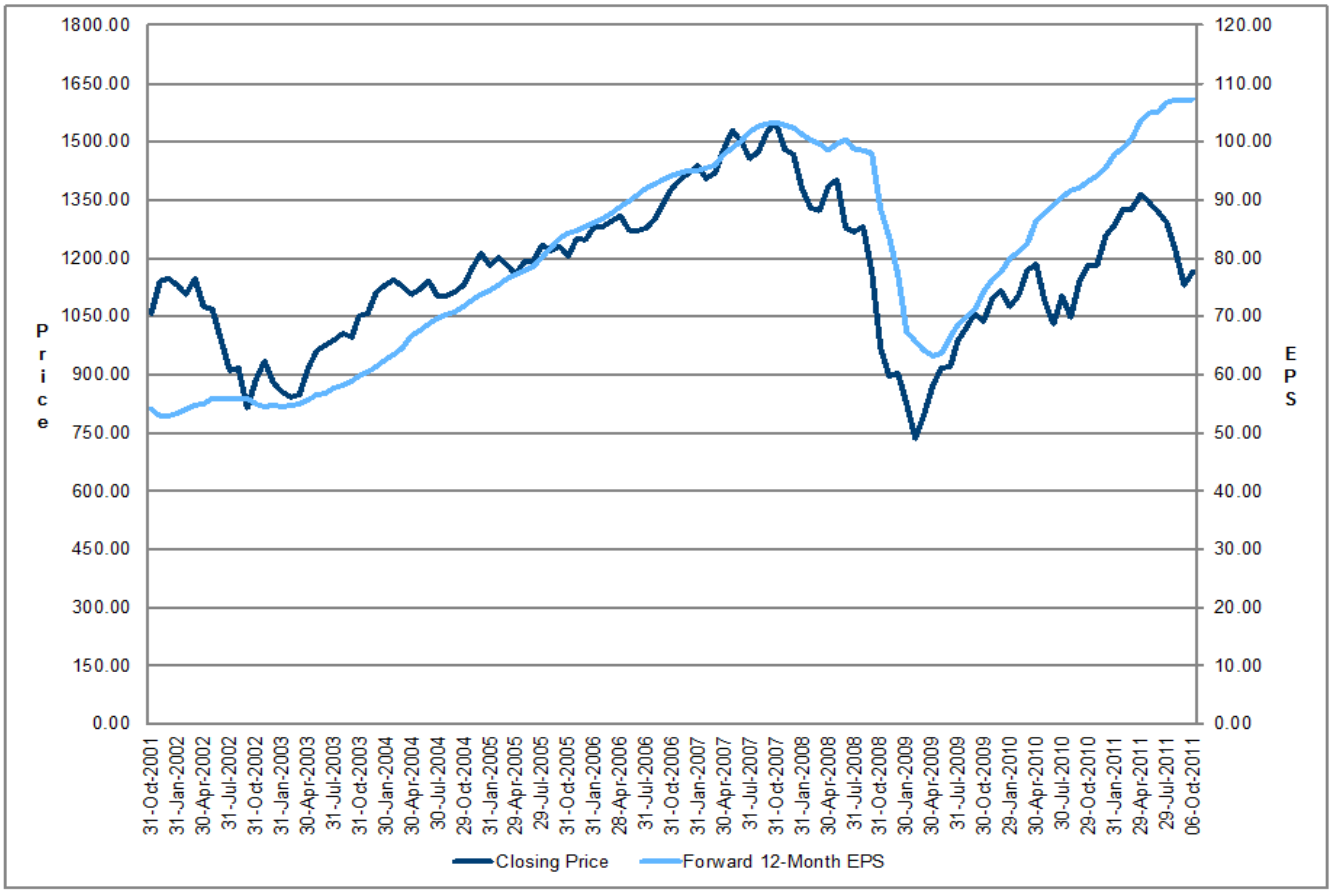
John Butters, Senior Earnings Analyst
Media Questions/Requests
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KEY METRICS:

- **Earnings Revisions:** Since June 30, aggregate earnings for Q3 2011 have decreased 3.9%. The Financials (-11.2%) and Materials (-10.6%) sectors have witnessed the largest declines in earnings.
- **Earnings Growth:** The estimated earnings growth rate for Q3 2011 is 12.0%. The Energy (42.5%) and Materials (31.9%) sectors have the highest growth rates for the quarter.
- **Earnings Guidance:** For Q3 2011, 71 companies have issued negative EPS guidance and 38 companies have issued positive EPS guidance.
- **Valuations:** The current 12-Month forward P/E ratio is 10.9. This P/E ratio is below the average forward 12-Month P/E ratio over the past year (12.5).
- **Earnings Scorecard:** Of the 28 companies that have reported earnings for Q3 2011 to date, 75% have reported earnings above the mean estimate.

Forward 12-Month EPS Estimate and Price: 10 Years



All data published in this report is available on FactSet. Please contact media_request@factset.com of 1-877-FACTSET for more information.

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COMMENTS:

Topic of the Week: Goldman Sachs Bears Brunt of Downward Revisions for Financials

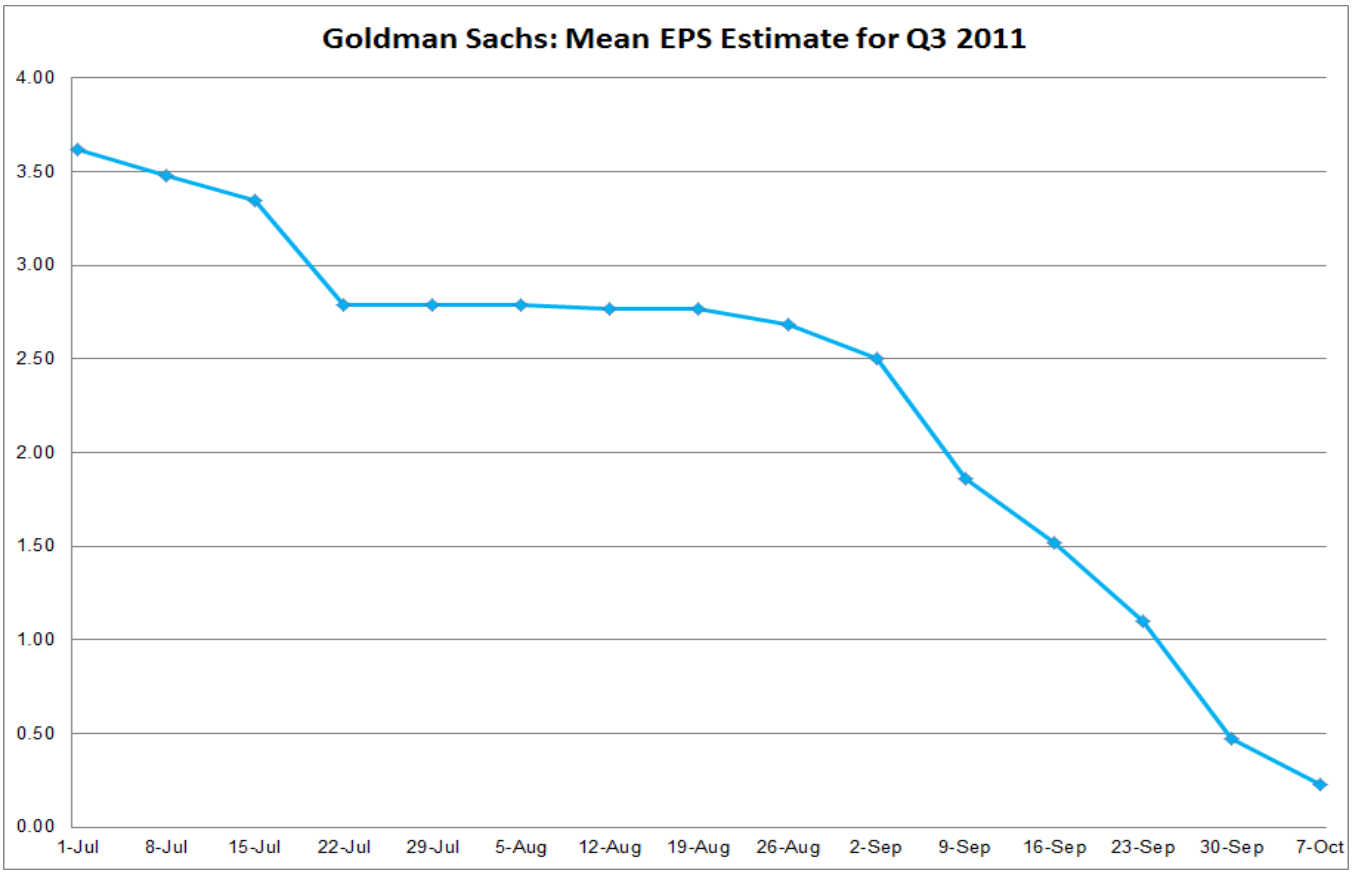
Since the start of the third quarter, the Financials sector has recorded the largest percentage decline in estimated earnings of all ten sectors. In aggregate, dollar-level earnings for the sector have dropped $4.7B during this time. On June 30, the estimated earnings growth was 21.0%. Today, the estimated earnings growth rate is 8.3%.

Within the Financials sector, where have analysts been cutting estimates? Which industries and sub-industries have recorded the highest declines in aggregate earnings?

At the sub-industry level within the sector, The Investment Banking & Brokerage sub-industry has recorded the highest decrease in dollar-level earnings (-$2.1B) since June 30. Most of these estimate revisions have occurred over the last month, as this sub-industry has also witnessed the largest dollar-level drop since August 31 (-$1.4B). The estimated earnings growth rate for this sub-industry was 81% on June 30. By August 31, the growth rate had dropped to 44%. Today, the estimated growth rate is -42%.

Within the Investment Banking & Brokerage sub-industry, Goldman Sachs has witnessed the largest decrease in aggregate dollar-level earnings (-$1.7B) of the four companies in the sub-industry since the start of the quarter. On June 30, the mean EPS estimate for the company was $3.62. On August 31, the mean EPS estimate was $2.54. Today, the mean EPS estimate is $0.23.

In fact, Goldman Sachs is the largest detractor to earnings growth at the company-level in the Financials sector. Excluding Goldman Sachs, the estimated earnings growth rate for the Financials sector would improve to 13.0%.



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Q3 Earnings Season Overview:

Despite downward revisions to estimates during the past three months, analysts are still expecting another solid quarter of earnings and revenue growth for the S&P 500. The index is currently predicted to see earnings growth of 12.0% (on earnings of $233B), and revenue growth of 9.7% (on sales of $2,438B). If the final earnings growth rate is 12.0%, it will mark the eighth consecutive quarter of double-digit earnings growth. Nine of the ten sectors are projected to see growth in earnings and all ten sectors are projected to see growth in revenues.

Estimate Revisions: Sharp Cuts to the Financials Sector in Recent Weeks

During the past week, the estimated earnings growth rate for the S&P 500 dropped 0.4 percentage points (to 12.0% from 12.4%), mainly due to downward revisions to estimates for companies in the Financials and Materials sectors. In the Financials sector, Goldman Sachs (to $0.23 from $0.47) and AIG (to $0.37 from $0.46) witnessed significant declines in their mean EPS estimates. In the Materials sector, Freeport-McMoRan Copper & Gold (to $1.15 from $1.37) also saw a substantial decrease in its mean EPS estimate. Overall, the estimated earnings growth rate for the Financials sector fell to 8.3% from 9.9%, while the estimated earnings growth rate for the Materials sector dropped to 31.9% from 35.1%.

Since August 31, the estimated earnings growth rate for the S&P 500 has declined 2.3 percentage points (to 12.0% from 14.3%) mainly due to downward estimate revisions to companies in the Financials sector. The sector is responsible for $3.5B of the total $4.6B decrease in estimated earnings for the S&P 500 over this time. At the sub-industry level, the Investment Banking & Brokerage (-$1.5B) and Other Diversified Financial Services ($890M) sub-industries have seen the highest dollar-level reductions since August 31. Overall, the growth rate for the sector has dropped 10.0 percentage points (to 8.3% from 18.3%) during this time.

Since the start of the quarter, the estimated earnings growth rate for the quarter has fallen to 12.0% from 16.4%, due to cuts in EPS estimates across multiple sectors during the quarter. All ten sectors in the index have seen a decrease in earnings estimates over this time frame, resulting in a net decline in dollar-level earnings of 3.9% (or $9.5B) for the index. The Financials sector has recorded the largest percentage decline at 11.2% (or $4.7B), and is responsible for about half of the dollar-level decrease of the index. Three other sectors have recorded declines of 4% or greater: Materials (-10.6%), Telecommunications Services (-6.2%), and Energy (-4.1%).

In terms of earnings guidance, the percentage of negative projections for the third quarter (65%) is slightly higher than the percentages reported for the second quarter (64%) and first quarter (60%). To date, 109 companies (or 22%) of the 500 companies in the index have provided quarterly EPS guidance. Of these 109 companies, 71 companies have issued negative EPS guidance and 38 companies have issued positive EPS guidance. In the second quarter, 68 companies issued negative EPS guidance and 39 companies issued positive EPS guidance.

On the revenue side, the estimated growth rate of 9.7% is below the estimated growth rate of 10.5% at the start of the quarter. Overall, aggregate revenues are down 0.9% (or $21.7B) since June 30. However, only four sectors have recorded a decline in estimates. These four sectors are the Energy (-5.0%), Financials (-3.5%), Utilities (-0.6%), and Information Technology (-0.4%) sectors.

Energy and Materials Sectors: Highest Growth Rates Due to High Commodity Prices

The Energy and Materials sectors are projected to be the top performers in the third quarter relative to year-ago numbers, due in part to year-over-year increases in commodity prices.

The Energy sector ranks first in both earnings growth (42.5%) and revenue growth (21.8%) of all ten sectors. In fact, the Energy sector is the largest contributor to dollar-level earnings and revenue growth for the S&P 500 in the third quarter. If the Energy sector is removed, the earnings and revenue growth rates for the remaining nine sectors drop to 8.2% and 7.6%, respectively. At the sub-industry level, the Oil & Gas Refining & Marketing sub-industry (tickers VLO, SUN, TSO) is expecting the highest earnings growth at 212%, while the Oil & Gas Equipment & Services (tickers: SLB, FTI, HAL, BHI, NOV, CAM) sub-industry is expecting the highest sales growth rate at 35%.

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The Materials sector ranks second in both earnings growth (31.9%) and revenue growth (13.9%) of all ten sectors. At the sub-industry level, the Steel (tickers CLF, ATI, NUE, X, AKS), Aluminum (ticker AA), and Fertilizers & Agricultural Chemicals (CF, MON, MOS) sub-industries are predicted to be the top three sub-industries in terms of earnings and revenue growth for the quarter.

The high earnings and revenue growth rates for the Energy and Materials sectors can be attributed in part to year-over-year increases in commodity prices. Despite recent declines, many commodity prices are still above year-ago numbers. The Reuters/Jefferies CRB index is up about 3% compared to this point in time last year, while Brent Crude (ICE $/bbl) is up about 26% relative to last year. Many companies (including Alcoa, ExxonMobil, and Chevron) in these two sectors attributed increased sales in the second quarter to increases in commodity prices.

Can Emerging Markets Growth Continue to Offset Domestic Economic Weakness?

Economic growth in the U.S. has been weaker than expected in the first half of 2011. Many are predicting slow economic growth for the U.S. for the remainder of 2011 as well. For example, the IMF lowered its projection for 2011 GDP growth in the U.S. to 1.5% from 2.5% on September 20.

On the other hand, countries in the Asia Pacific region (except Japan) and in "emerging markets" regions have reported high economic growth in recent quarters. According to FactSet Economics, ten of the top fifteen nations in terms of year-over-year real GDP growth in Q2 2011 were countries in the Asia Pacific and South American regions, including China (9.5%), Argentina (9.5%), India (8.1%), and Chile (6.8%). Over the last few quarters, many corporations have reported their largest revenue growth in the Asia Pacific region and in emerging markets. However, some are concerned about slowing growth in developing countries as well. In the same report issued on September 20, the IMF lowered its projection for 2011 GDP growth in "Emerging and Developing Economies" to 6.4% from 6.6%.

Given the continued expected weakness in the U.S. economy, can companies continue to generate high revenue growth outside the U.S.? Four companies (Oracle, FedEx, Nike, and Yum! Brands) that recently announced earnings results have provided mixed views on continued global growth.

Oracle, Nike and Yum! Brands all reported a continuation of strong sales growth in the Asia Pacific region and in emerging markets. Oracle reported overall revenue growth of 12%, and recorded its highest revenue growth (19%) on a geographic basis in the Asia Pacific region. Nike reported overall sales growth of 18%, and witnessed its highest revenue growth on a geographic basis in Emerging Markets (35%). In addition, the company stated it recorded its highest growth in future orders in Greater China (27%) and Emerging Markets (22%). Yum! Brands Chairman and CEO David C. Novak made these comments regarding growth in China and other emerging markets in the company's earnings release, "As a result of strong performance in China and other emerging markets, we confidently reaffirm our full-year EPS growth forecast of at least 12%, which will make 2011 the 10th consecutive year we exceed our annual target of at least 10% EPS growth."

FedEx reported revenue growth of 11%, but expressed concerns about slowing economic growth, particularly in the Asia Pacific region. Alan B. Graf, executive vice-president and CFO, made these comments in the company's earnings release, "The U.S. and global economy grew at a slower rate than we anticipated during the quarter. While FedEx Ground and FedEx Freight achieved improved operating results despite lower than expected growth, the more rapid decline in demand for FedEx Express services, particularly from Asia, outpaced our ability to reduce operating costs. We have slightly reduced our earnings forecast to reflect current business conditions and are aggressively working to adjust our cost structure to match demand levels."

Given these early mixed views, it will be important to watch for more commentary from companies on their ability to generate high revenue growth in emerging markets to offset weak economic growth in the U.S.

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Consumer Discretionary: Solid Growth Expected Despite Headwinds

Despite a number of headwinds such as higher commodity prices, the impact of Hurricane Irene, the impact of the earthquake in Japan, and high unemployment, the Consumer Discretionary is projected to see third-highest growth in earnings (15.7%) and revenues (9.8%) of all ten sectors. How is this level of growth possible, given the potential detractors to earnings and sales?

First, there are companies in the sector that are executing well in spite of these headwinds. For example, the industry with the highest projected earnings growth rate (32.2%) and the second-highest projected sales growth rate (19.3%) has been able to overcome the challenges of higher commodity prices and the earthquake in Japan in recent quarters. This industry is the Auto Components industry. The two companies in this industry, Goodyear Tire & Rubber and Johnson Controls, have been able to raise prices, increase volumes, and grow globally to offset the impact of higher raw material costs and lower auto production from Japan. It appears that analysts believe these two companies will continue to perform well in the third quarter.

Second, some of the companies expecting the highest earnings and revenue growth are not sensitive to headwinds such as high commodity prices, the impact of the hurricane, or the impact of the earthquake. Two examples of industries that fall into this category are The Internet & Catalog Retail and Media industries. Two companies in these industries that are expected to see high sales growth are Amazon.com (44%) and Comcast (50%).

Finally, the earnings growth rate for the sector is benefitting from an easy year-ago comparison for PulteGroup. The mean EPS estimate for PulteGroup is -$0.01. However, the company reported EPS of -$2.63 in the year-ago quarter. As a result, PulteGroup accounts for more than one-third of the earnings growth in the sector. If this company is removed, the growth rate for the sector would fall to 9.5%.

Valuation: Forward P/E Well Below 10-Year Average

A recurring theme during every earnings season is how this earnings season will affect future earnings and sales estimates, as the markets always look ahead.

In terms of estimate revisions since the end of the third quarter (September 30), analysts have decreased aggregate estimated earnings for Q4 2011 by 0.3%, for Q1 2012 by 0.4%, for Q3 2012 by 0.1%, and for Q4 2012 by 0.1%.

The current forward 12-month P/E ratio of 10.9 is well below the prior ten-year average forward 12-month P/E ratio of 15.0. The P/E ratio is lower than the average due to a combination of recent declines in the market (down 14% since July 22) and projected increases in earnings through the second half of 2012. In Q3 2011, aggregate estimated earnings for the S&P 500 are expected to be about $233B. However, the aggregate estimated earnings are projected to increase to about $247B in Q4 2011, $246B in Q1 2012, $262B in Q2 2012, and $268B in Q3 2012. On a per share basis, forward 12-month earnings are expected to be over $105. While these projections may seem high, it is important to note that more than 70% of companies have reported EPS above estimates over the last seven quarters.

Will there be a return to the 10-year average valuation for the market anytime soon? If there is going to be a return to this average P/E ratio of 15.0, either future estimates will need to decrease, the price of the index will need to increase, or a combination of the two.

The Week Ahead:

The next week marks the unofficial start of the Q3 2011 earnings season, as Alcoa is scheduled to announce earnings on October 11. However, it will be a light week in terms of numbers, as just seven other S&P 500 companies are scheduled to announce results. Other high profile companies scheduled to report earnings during the week include JPMorgan Chase (Oct. 13) and Google (Oct. 13).

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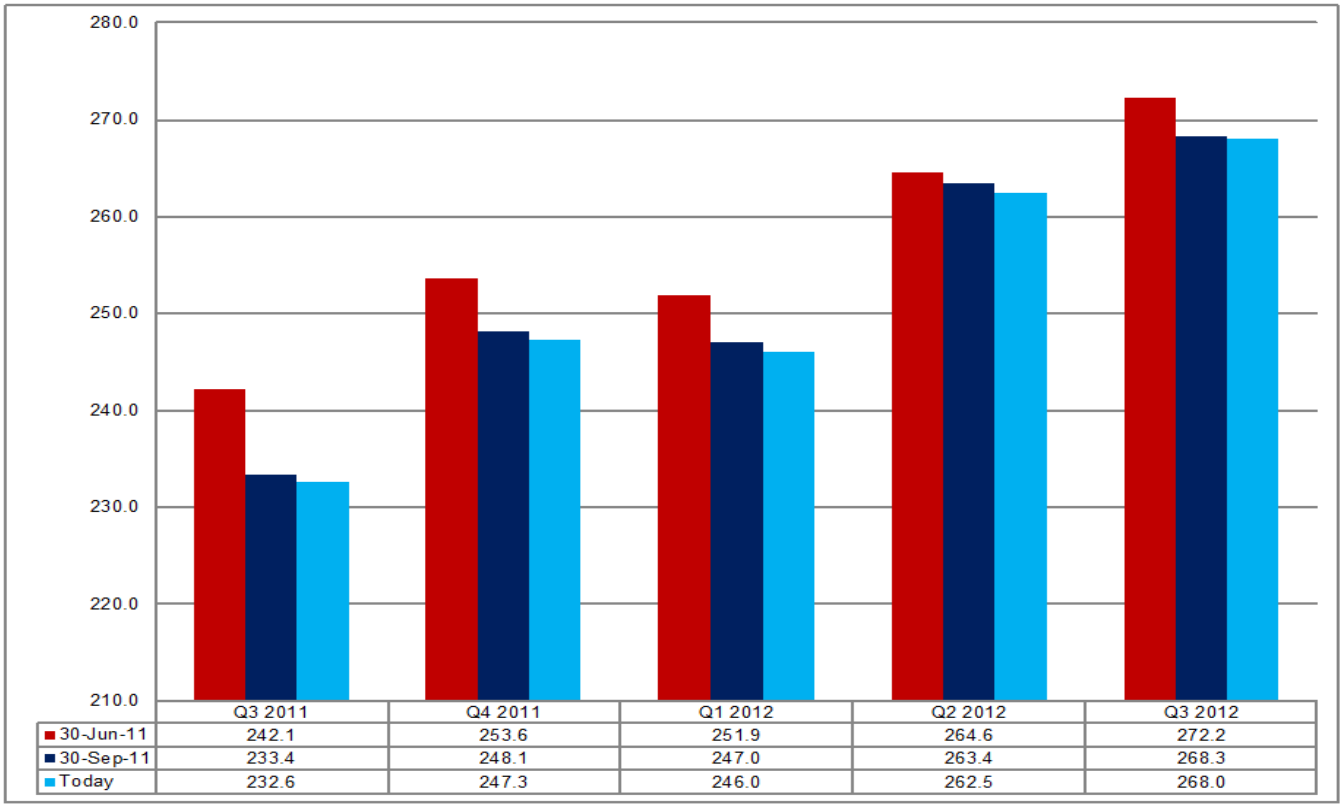
DOLLAR-LEVEL EARNINGS: OVERVIEW (Q3 2011 – Q3 2012)

The numbers below reflect the change in share-weighted earnings since June 30. The share-weighted earnings are calculated by multiplying the total shares outstanding by the estimated (or actual) EPS for all companies in the index for a calendar quarter and aggregating the data.

Q3 2011 – Q3 2012: Share-Weighted Earnings ($B)

Sector	Q311	Q411	Q112	Q212	Q312
Consumer Discretionary	20.6	23.2	20.8	23.8	24.0
Consumer Staples	23.7	25.4	22.8	25.8	26.3
Energy	33.2	34.4	35.6	37.4	38.6
Financials	37.4	42.1	44.7	46.8	47.7
Health Care	28.4	28.0	30.1	30.5	29.8
Industrials	22.6	24.0	23.1	26.2	26.7
Information Technology	43.9	51.8	45.8	48.4	50.6
Materials	7.7	7.6	10.3	11.6	9.6
Telecommunication Services	5.2	4.9	5.4	5.7	5.7
Utilities	10.0	5.8	7.3	6.3	9.1
S&P 500	**232.6**	**247.3**	**246.0**	**262.5**	**268.0**

Q3 2011 – Q3 2012: Change in Share-Weighted Earnings ($B) – Since Jun 30



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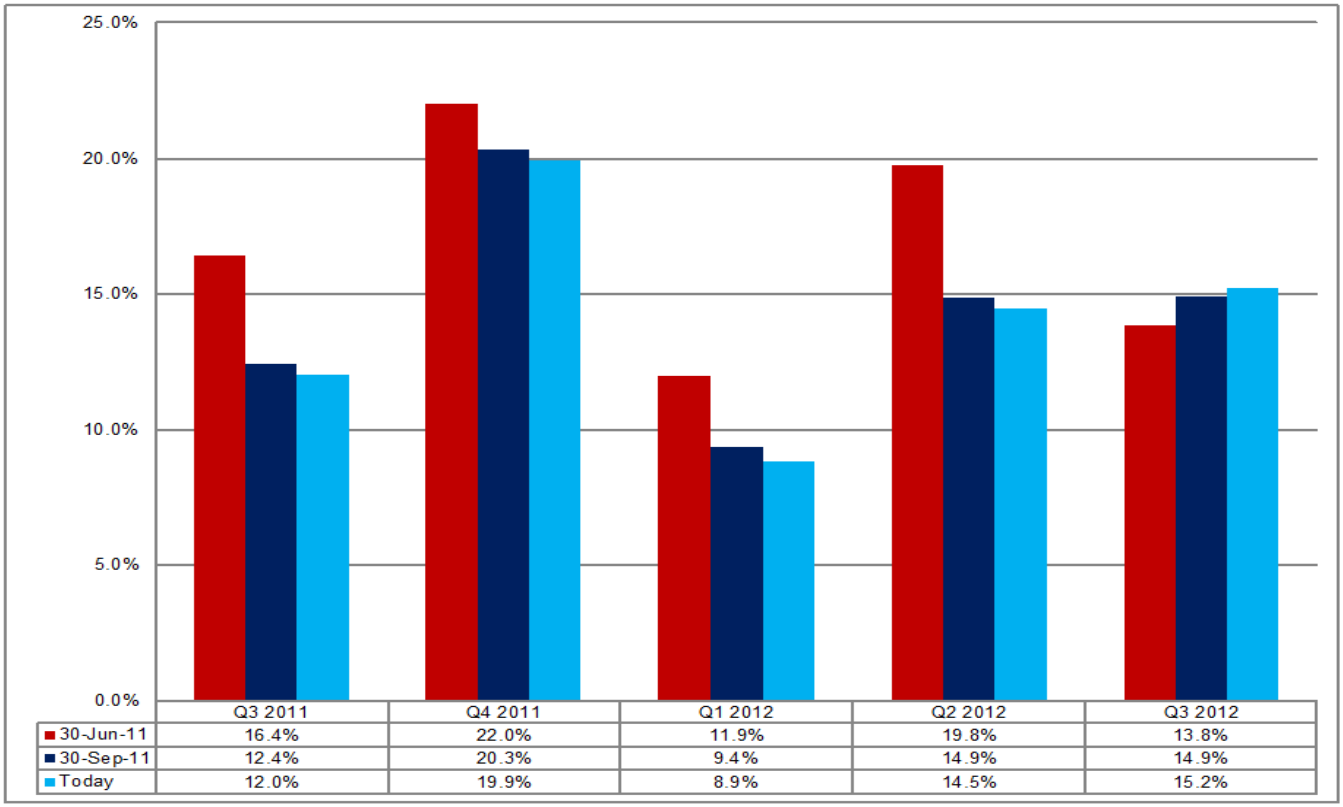
EARNINGS GROWTH RATES: OVERVIEW (Q3 2011 – Q3 2012)

The earnings growth rates reflect the aggregate difference in current estimated earnings and year-ago actual earnings for the constituents in the index at the end of each quarter. The EPS numbers are weighted by the total shares outstanding for both periods.

Q3 2011 – Q3 2012: Earnings Growth Rates

Sector	Q311	Q411	Q112	Q212	Q312
Consumer Discretionary	16%	10%	9%	9%	16%
Consumer Staples	5%	6%	6%	9%	11%
Energy	43%	25%	10%	1%	13%
Financials	8%	101%	17%	80%	28%
Health Care	2%	5%	2%	3%	5%
Industrials	14%	10%	15%	12%	18%
Information Technology	7%	8%	5%	5%	15%
Materials	32%	22%	12%	15%	26%
Telecommunication Services	14%	12%	11%	16%	10%
Utilities	-1%	3%	-3%	-6%	0%
S&P 500	**12%**	**20%**	**9%**	**14%**	**15%**

Q3 2011 – Q3 2012: Change in Earnings Growth Rates – Since Jun 30



	Q3 2011	Q4 2011	Q1 2012	Q2 2012	Q3 2012
30-Jun-11	16.4%	22.0%	11.9%	19.8%	13.8%
30-Sep-11	12.4%	20.3%	9.4%	14.9%	14.9%
Today	12.0%	19.9%	8.9%	14.5%	15.2%

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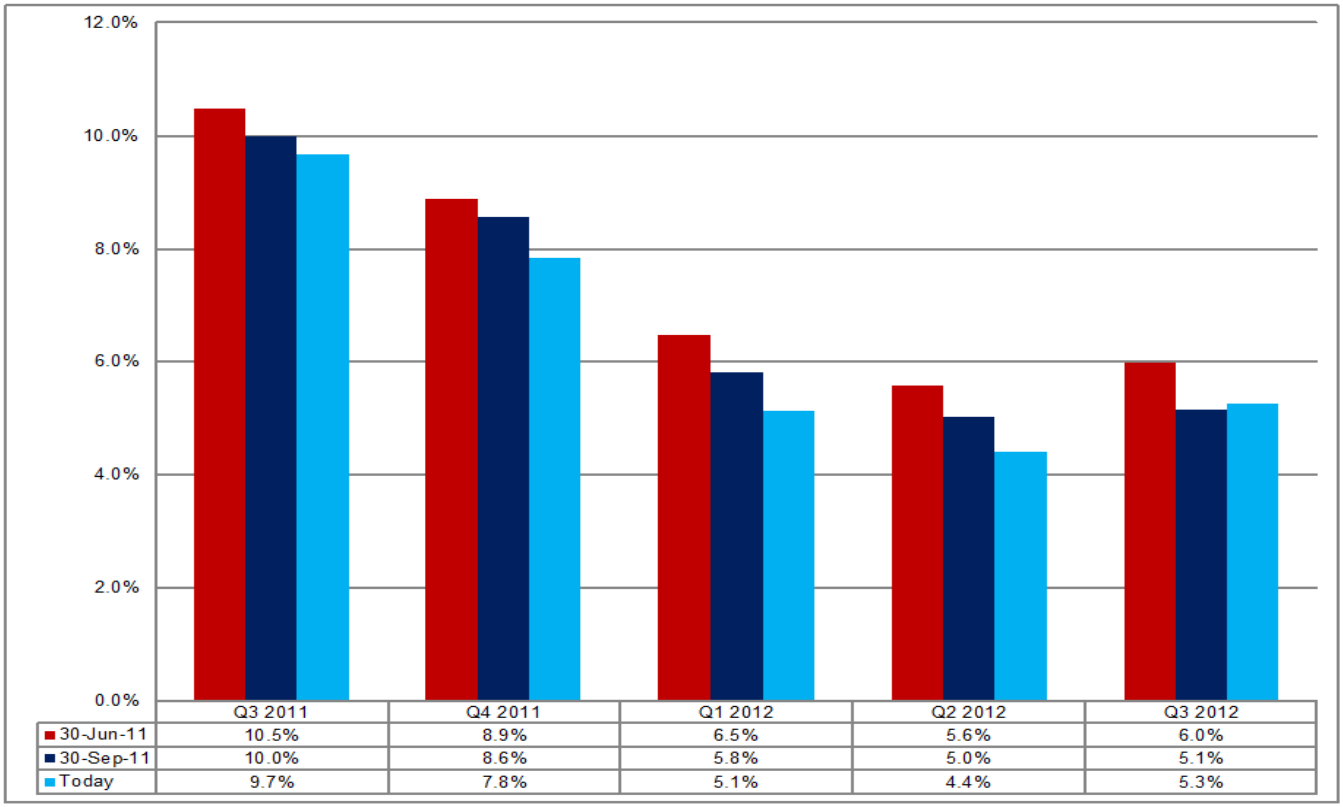
REVENUE GROWTH RATES: OVERVIEW (Q3 2011 – Q3 2012)

The revenue growth rates reflect the aggregate difference in current estimated revenues and year-ago actual revenues for the constituents in the index at the end of each quarter.

Q3 2011 – Q3 2012: Revenue Growth Rates – Since Jun 30

Sector	Q311	Q411	Q112	Q212	Q312
Consumer Discretionary	10%	9%	7%	6%	7%
Consumer Staples	9%	7%	5%	3%	4%
Energy	22%	8%	2%	1%	3%
Financials	2%	8%	5%	8%	7%
Health Care	6%	4%	3%	2%	1%
Industrials	9%	8%	6%	7%	7%
Information Technology	8%	10%	7%	6%	9%
Materials	14%	12%	8%	7%	7%
Telecommunication Services	7%	8%	7%	3%	3%
Utilities	7%	8%	6%	2%	11%
S&P 500	**10%**	**8%**	**5%**	**4%**	**5%**

Q3 2011 – Q3 2012: Change in Revenue Growth Rates – Since Jun 30



	Q3 2011	Q4 2011	Q1 2012	Q2 2012	Q3 2012
30-Jun-11	10.5%	8.9%	6.5%	5.6%	6.0%
30-Sep-11	10.0%	8.6%	5.8%	5.0%	5.1%
Today	9.7%	7.8%	5.1%	4.4%	5.3%

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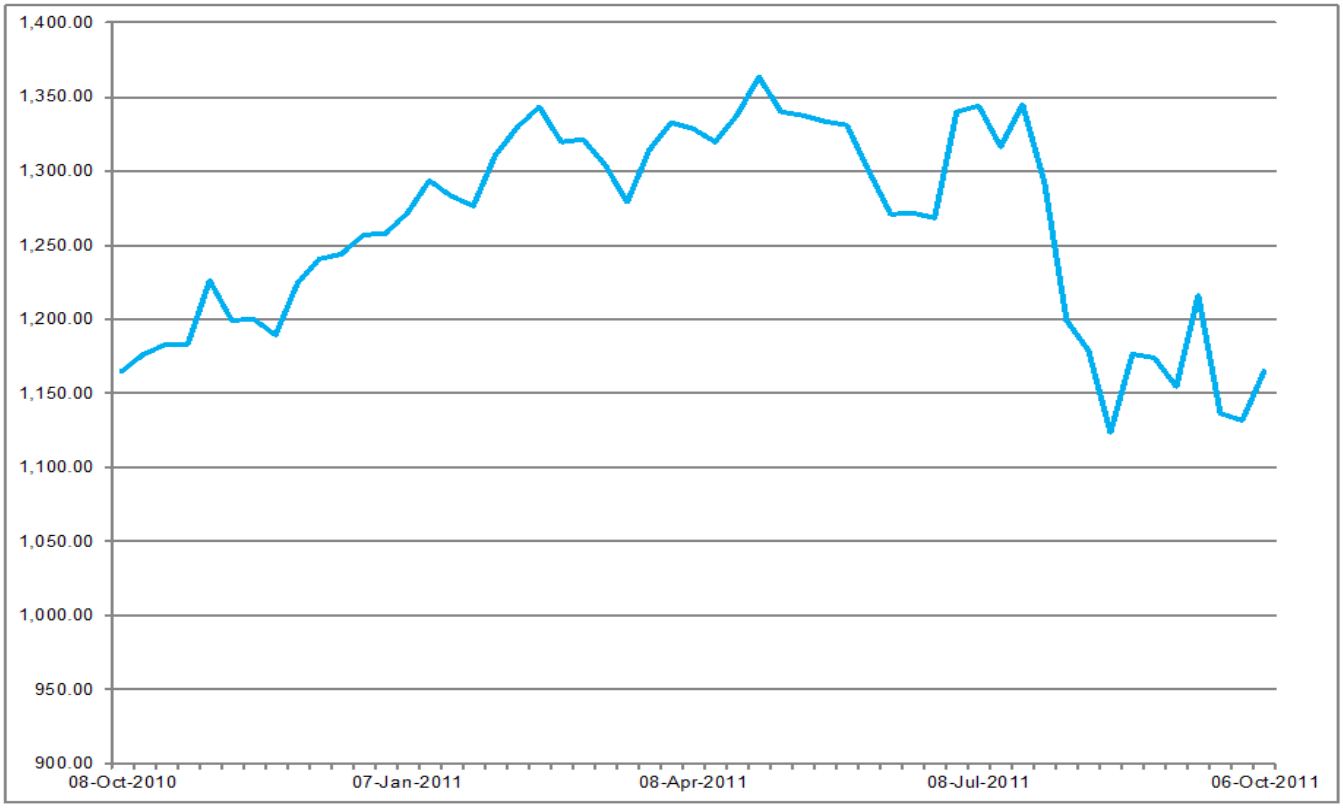
PRICE:

The numbers in the table and chart reflect the change in price of the index over different time periods.

Change in Index Price (12 Months)

Sector	Price	1 Week	1 Month	3 Month	12 Month
Consumer Discretionary	287.24	1.3%	1.5%	-11.5%	7.5%
Consumer Staples	308.08	-0.7%	-1.2%	-5.7%	5.5%
Energy	463.77	1.8%	-4.1%	-18.1%	7.0%
Financials	165.14	0.2%	-0.2%	-20.4%	-16.7%
Health Care	369.29	-0.9%	-1.5%	-11.2%	3.8%
Industrials	262.39	0.5%	-0.1%	-19.8%	-5.3%
Information Technology	392.99	1.0%	4.5%	-6.6%	6.4%
Materials	199.04	3.9%	-6.0%	-20.2%	-4.7%
Telecommunication Services	120.77	-2.1%	0.8%	-10.4%	-1.5%
Utilities	168.77	-2.3%	1.0%	-1.6%	4.9%
S&P 500	**1164.97**	**0.4%**	**0.0%**	**-13.0%**	**0.4%**

Change in Index Price (12 Months)



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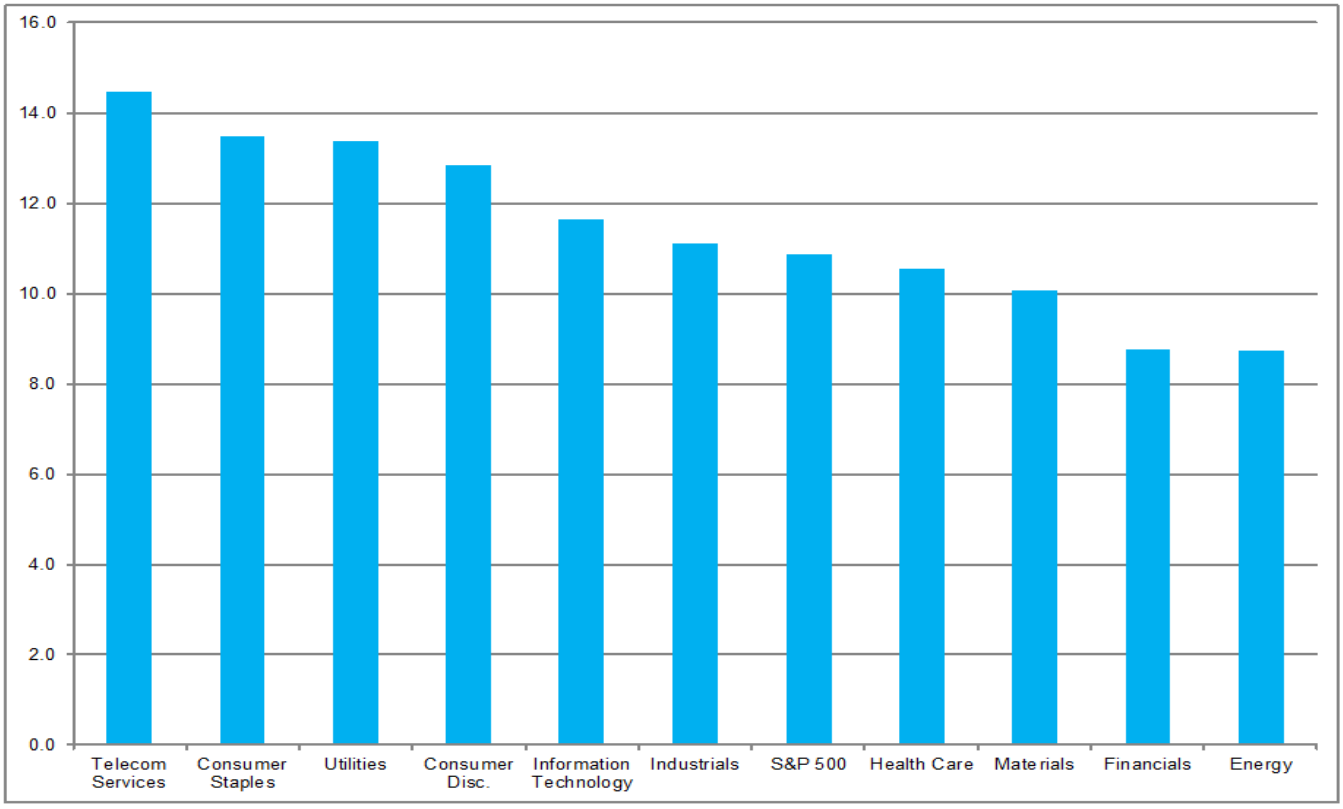
FORWARD 12M PRICE-TO-EARNINGS RATIO: CURRENT

The price-to-earnings ratio below is calculated by dividing the price of the sector and index by the forward 12-month EPS. The forward 12-month EPS is calculated by aggregating pro-rated percentages of the CY 2011 EPS and CY 2012 EPS. The EPS estimates are weighted by the float shares outstanding.

P/E Ratio – Next Twelve Months Aggregate (NTMA)

Sector	Mkt Cap	Price	EPS	P/E
Consumer Discretionary	1,134.8	287.24	22.36	12.8
Consumer Staples	1,215.4	308.08	22.87	13.5
Energy	1,254.9	463.77	53.06	8.7
Financials	1,453.6	165.14	18.86	8.8
Health Care	1,255.9	369.29	34.98	10.6
Industrials	1,099.2	262.39	23.60	11.1
Information Technology	2,081.0	392.99	33.80	11.6
Materials	373.1	199.04	19.78	10.1
Telecommunication Services	335.1	120.77	8.35	14.5
Utilities	403.8	168.77	12.62	13.4
S&P 500	**10,606.7**	**1164.97**	**107.12**	**10.9**

P/E Ratio – Next Twelve Months Aggregate (NTMA)



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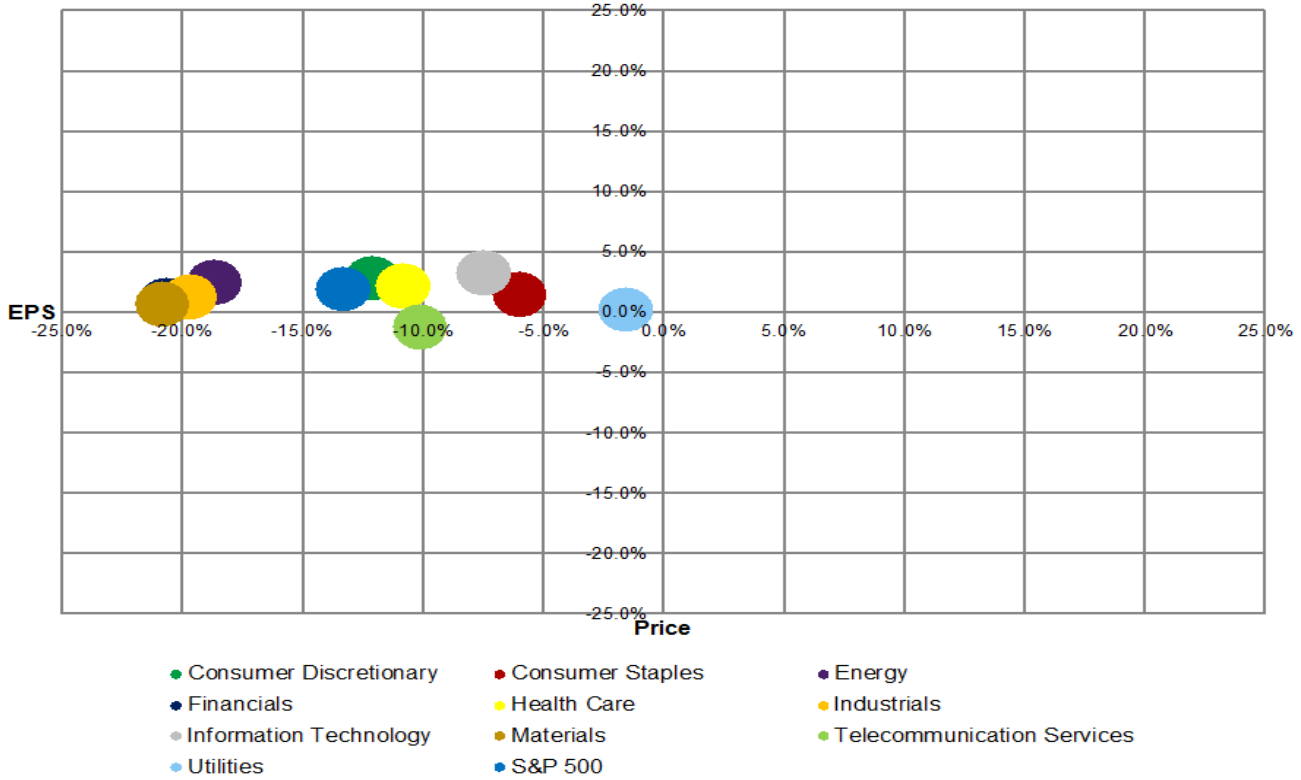
FORWARD 12M PRICE-TO-EARNINGS RATIO: 3 MONTH CHANGE

The price-to-earnings ratio below is calculated by dividing the price of the sector and index by the forward 12-month EPS. The forward 12-month EPS is calculated by aggregating pro-rated percentages of the CY 2011 EPS and CY 2012 EPS. The EPS estimates are weighted by the float shares outstanding.

P/E Ratio – Next Twelve Months Aggregate (NTMA): 3 Months

Sector	Today	1 Week Ago	4 Weeks Ago	13 Weeks Ago
Consumer Discretionary	12.8	12.3	12.5	15.0
Consumer Staples	13.5	13.4	13.5	14.5
Energy	8.7	8.4	9.0	11.0
Financials	8.8	8.4	8.6	11.1
Health Care	10.6	10.5	10.6	12.1
Industrials	11.1	10.7	11.0	14.0
Information Technology	11.6	11.2	11.2	13.0
Materials	10.1	9.2	10.3	12.8
Telecommunication Services	14.5	14.6	14.3	15.9
Utilities	13.4	13.5	13.1	13.6
S&P 500	**10.9**	**10.6**	**10.8**	**12.8**

Change (3 Month) in Sector Price and Sector EPS (NTMA)



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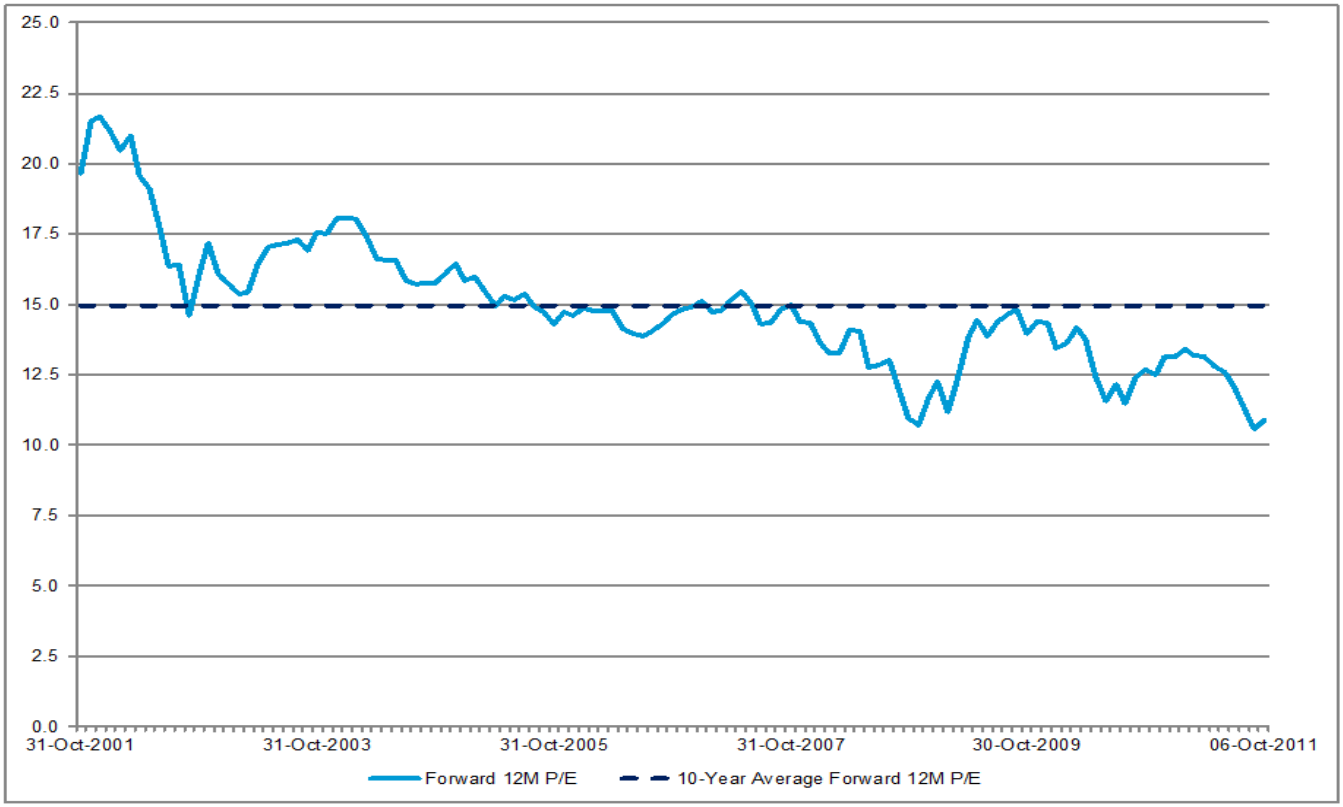
PRICE-TO-EARNINGS RATIO: LONG-TERM AVERAGES

The price-to-earnings ratio below is calculated by dividing the price of the sector and index by the forward 12-month EPS. The forward 12-month EPS is calculated by aggregating pro-rated percentages of the CY 2011 EPS and CY 2012 EPS. The EPS estimates are weighted by the float shares outstanding.

P/E Ratio – Next Twelve Months Aggregate (NTMA): 10 Years

Sector	Today	1 Year Avg.	5 Year Avg.	10 Year Avg.
Consumer Discretionary	12.8	14.4	16.5	17.5
Consumer Staples	13.5	14.1	14.9	16.8
Energy	8.7	11.4	11.4	12.8
Financials	8.8	10.8	11.9	12.0
Health Care	10.6	11.3	12.7	15.6
Industrials	11.1	13.9	14.2	16.0
Information Technology	11.6	13.0	15.9	20.6
Materials	10.1	12.9	14.9	16.0
Telecommunication Services	14.5	15.3	13.9	14.8
Utilities	13.4	13.0	13.3	13.1
S&P 500	**10.9**	**12.5**	**13.4**	**15.0**

P/E Ratio – Next Twelve Months Aggregate (NTMA): 10 Years



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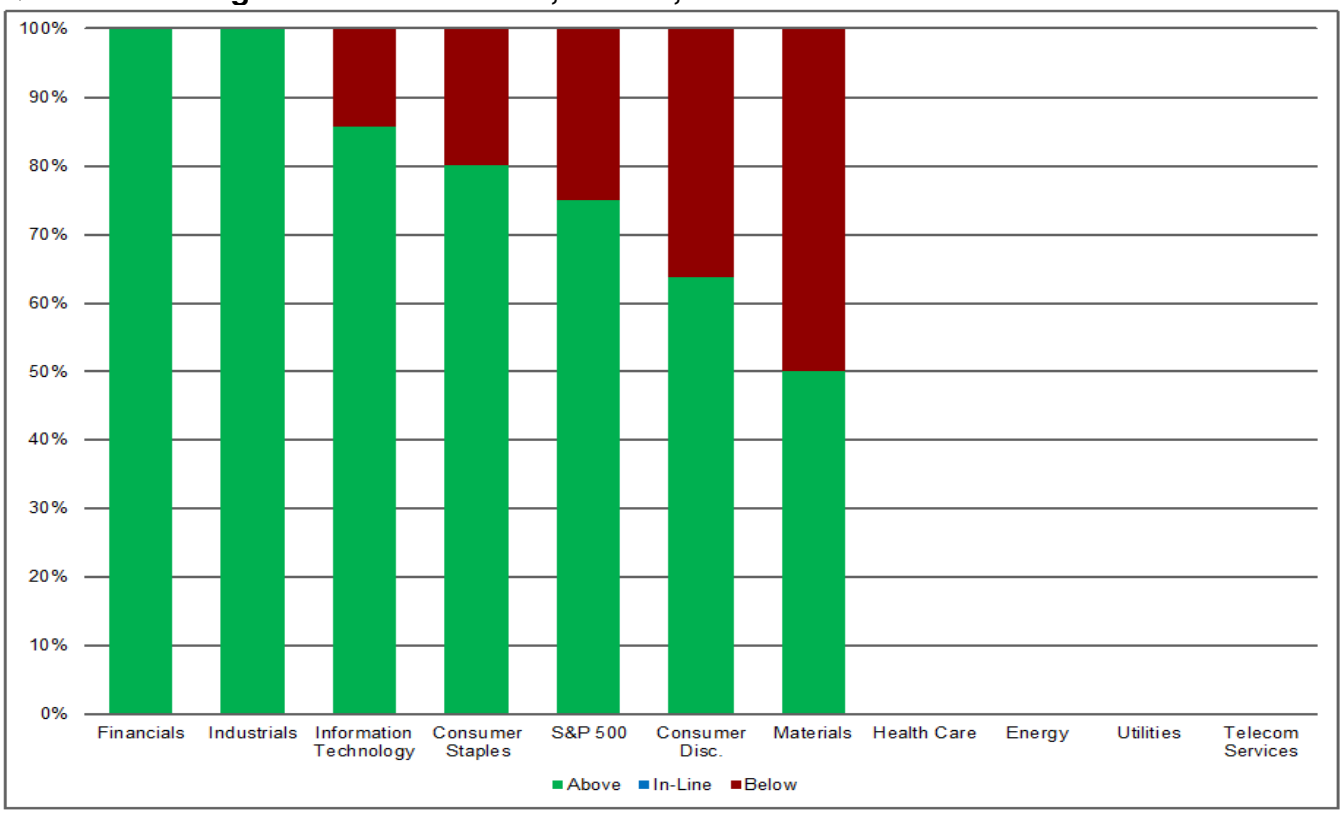
Q3 2011: EARNINGS SCORECARD

The earnings scorecard tracks the percentage of companies that report actual EPS above, equal to, and below the mean EPS estimate. The "Surprise" number reflects the aggregate difference (weighted by the total shares outstanding) between actual earnings and estimated earnings. The Q3 calendar quarters reflects numbers for companies with an August, September, or October quarter-end.

Q3 2011 Earnings Scorecard: Above, In-Line, Below

Sector	Reported	Above	Match	Below	Surprise
Consumer Discretionary	14%	64%	0%	36%	4%
Consumer Staples	12%	80%	0%	20%	2%
Energy	0%	#N/A	#N/A	#N/A	#N/A
Financials	1%	100%	0%	0%	23%
Health Care	0%	#N/A	#N/A	#N/A	#N/A
Industrials	3%	100%	0%	0%	2%
Information Technology	9%	86%	0%	14%	-1%
Materials	6%	50%	0%	50%	-2%
Telecom Services	0%	#N/A	#N/A	#N/A	#N/A
Utilities	0%	#N/A	#N/A	#N/A	#N/A
S&P 500	**6%**	**75%**	**0%**	**25%**	**3%**

Q3 2011 Earnings Scorecard: Above, In-Line, Below



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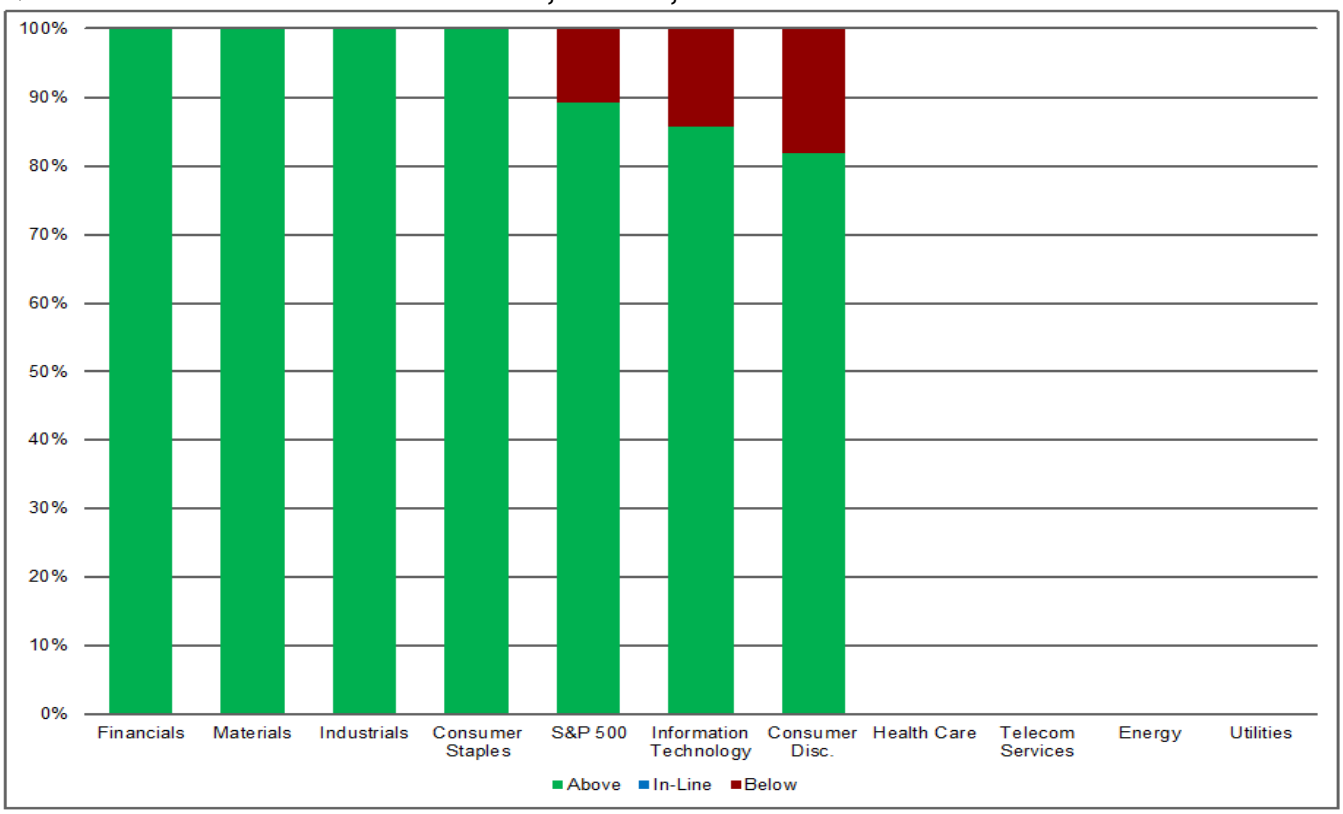
Q3 2011: REVENUE SCORECARD

The revenue scorecard tracks the percentage of companies that report revenue above, equal to, and below the mean revenue estimate. The "Surprise" number reflects the aggregate difference between actual revenues and estimated revenues. The Q3 calendar quarters reflects numbers for companies with an August, September, or October quarter-end.

Q3 2011 Revenue Scorecard: Above, In-Line, Below

Sector	Reported	Above	Match	Below	Surprise
Consumer Discretionary	14%	82%	0%	18%	2%
Consumer Staples	12%	100%	0%	0%	2%
Energy	0%	#N/A	#N/A	#N/A	#N/A
Financials	1%	100%	0%	0%	1%
Health Care	0%	#N/A	#N/A	#N/A	#N/A
Industrials	3%	100%	0%	0%	2%
Information Technology	9%	86%	0%	14%	1%
Materials	6%	100%	0%	0%	12%
Telecommunication Services	0%	#N/A	#N/A	#N/A	#N/A
Utilities	0%	#N/A	#N/A	#N/A	#N/A
S&P 500	**6%**	**89%**	**0%**	**11%**	**2%**

Q3 2011 Revenue Scorecard: Above, In-Line, Below



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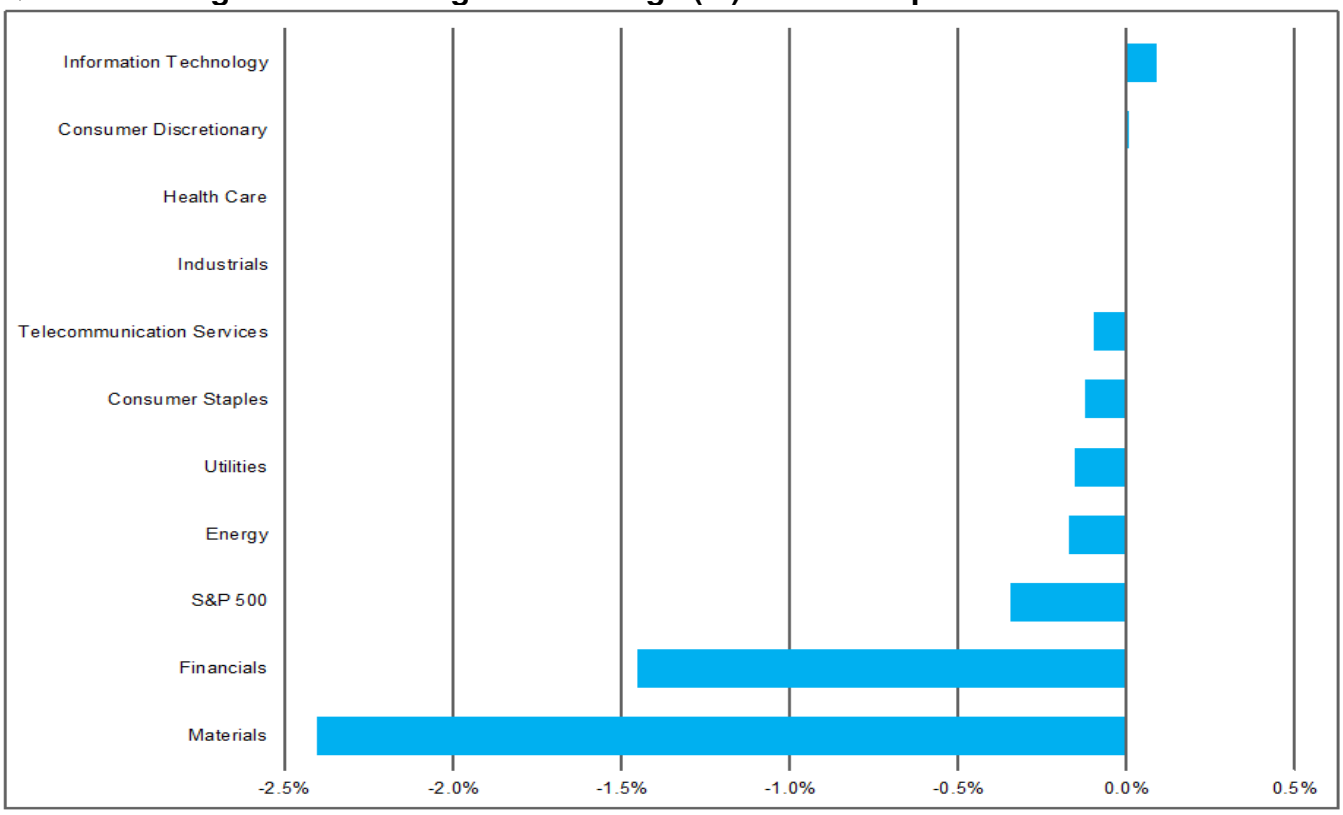
Q3 2011: CHANGE IN DOLLAR-LEVEL EARNINGS

The numbers below reflect the change in share-weighted earnings for Q3 2011 since September 30. The share-weighted earnings are calculated by multiplying the total shares outstanding by the estimated (or actual) EPS for all companies in the index for a calendar quarter and aggregating the data. The Q3 calendar quarter reflects numbers for companies with an August, September, or October quarter-end.

Q3 2011 Change in Share-Weighted Earnings ($) – Since Sep 30

Sector	7-Oct-11	30-Sep-11	Diff ($)	Diff (%)
Consumer Discretionary	20.6	20.6	0.0	0.0%
Consumer Staples	23.7	23.7	0.0	-0.1%
Energy	33.2	33.3	-0.1	-0.2%
Financials	37.4	37.9	-0.5	-1.4%
Health Care	28.4	28.4	0.0	0.0%
Industrials	22.6	22.6	0.0	0.0%
Information Technology	43.9	43.8	0.0	0.1%
Materials	7.7	7.9	-0.2	-2.4%
Telecommunication Services	5.2	5.2	0.0	-0.1%
Utilities	10.0	10.0	0.0	-0.2%
S&P 500	**232.6**	**233.4**	**-0.8**	**-0.3%**

Q3 2011 Change in Share-Weighted Earnings (%) – Since Sep 30



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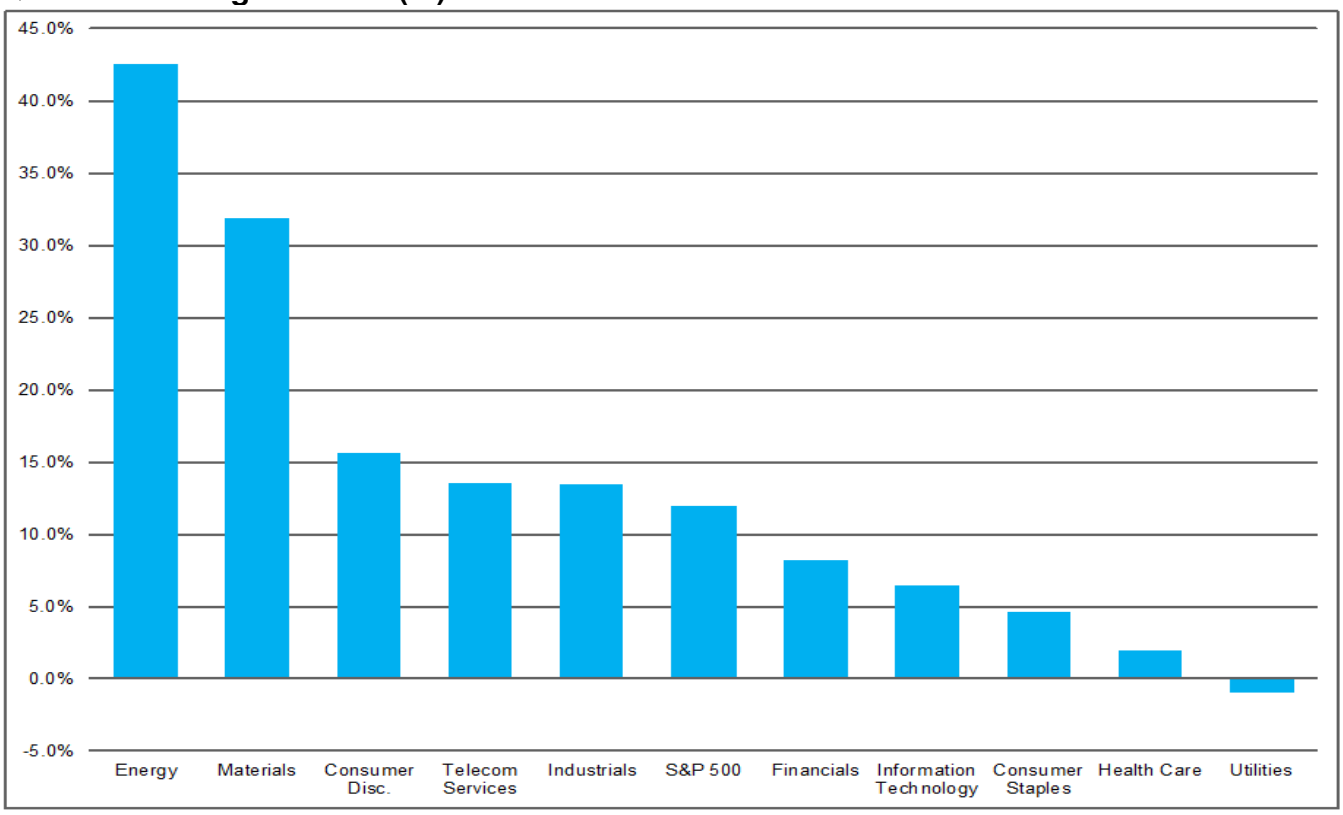
Q3 2011: EARNINGS GROWTH RATES

The Q3 2011 earnings growth rates reflect the aggregate difference in the blended (actual and estimated) earnings and year-ago actual earnings for the constituents in the index at the end of the quarter. The EPS numbers are weighted by the total shares outstanding for both periods. The Q3 calendar quarter reflects numbers for companies with an August, September, or October quarter-end.

Q3 2011 Earnings Growth ($)

Sector	Q311	Q310	Diff ($)	Diff (%)
Consumer Discretionary	20.6	17.8	2.8	16%
Consumer Staples	23.7	22.7	1.1	5%
Energy	33.2	23.3	9.9	43%
Financials	37.4	34.5	2.9	8%
Health Care	28.4	27.9	0.6	2%
Industrials	22.6	19.9	2.7	14%
Information Technology	43.9	41.2	2.7	7%
Materials	7.7	5.8	1.9	32%
Telecommunication Services	5.2	4.5	0.6	14%
Utilities	10.0	10.0	-0.1	-1%
S&P 500	**232.6**	**207.7**	**24.9**	**12%**

Q3 2011 Earnings Growth (%)



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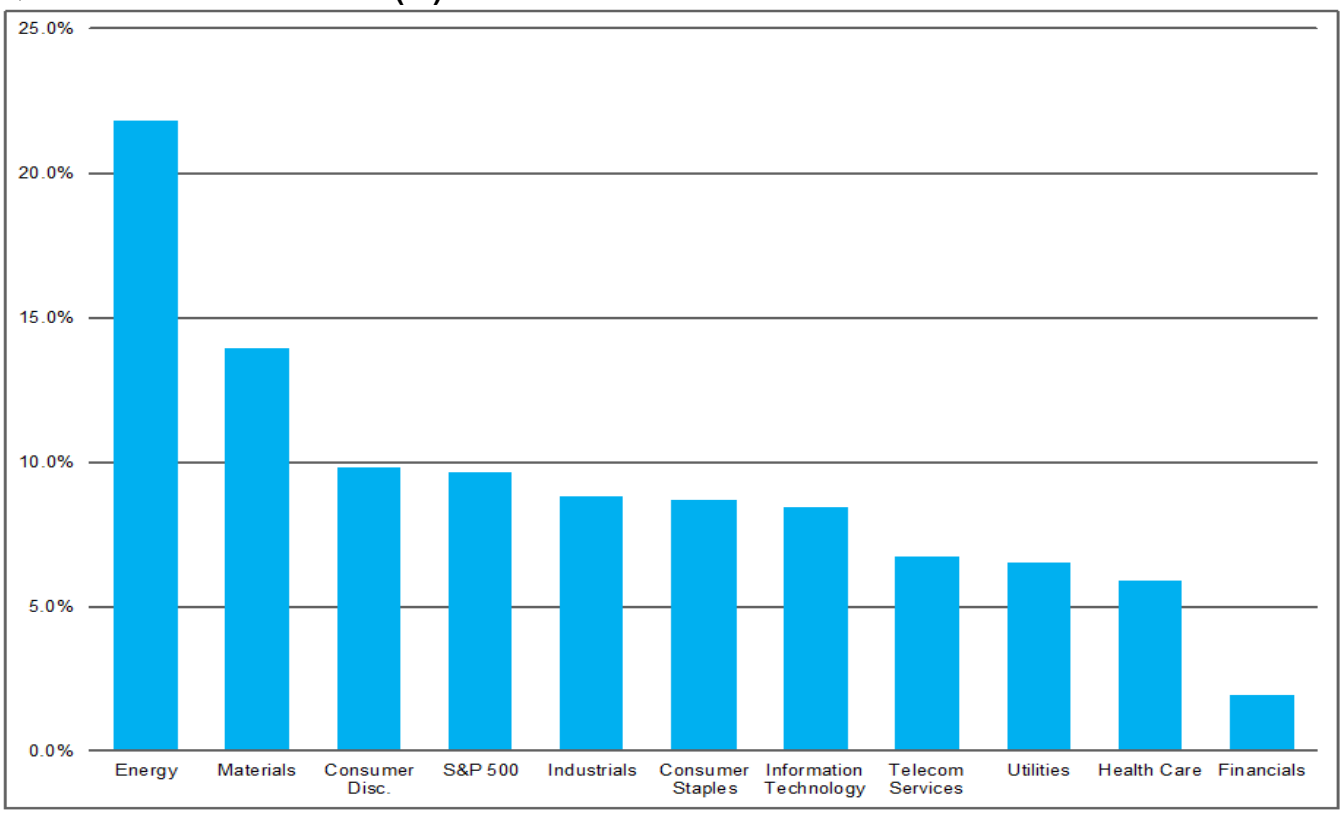
Q3 2011: REVENUE GROWTH RATES

The Q3 2011 revenue growth rates reflect the aggregate difference in the blended (actual and estimated) revenues and year-ago actual revenues for the constituents in the index at the end of the quarter. The Q3 calendar quarter reflects numbers for companies with an August, September, or October quarter-end.

Q3 2011 Revenue Growth ($)

Sector	Q311	Q310	Diff ($)	Diff (%)
Consumer Discretionary	315.4	287.1	28.3	10%
Consumer Staples	389.4	358.1	31.3	9%
Energy	386.2	317.1	69.1	22%
Financials	253.4	248.6	4.8	2%
Health Care	289.6	273.4	16.2	6%
Industrials	280.8	258.0	22.8	9%
Information Technology	258.3	238.1	20.2	8%
Materials	94.4	82.9	11.5	14%
Telecommunication Services	76.7	71.9	4.8	7%
Utilities	94.0	88.3	5.8	7%
S&P 500	**2438.1**	**2223.3**	**214.8**	**10%**

Q3 2011 Revenue Growth (%)



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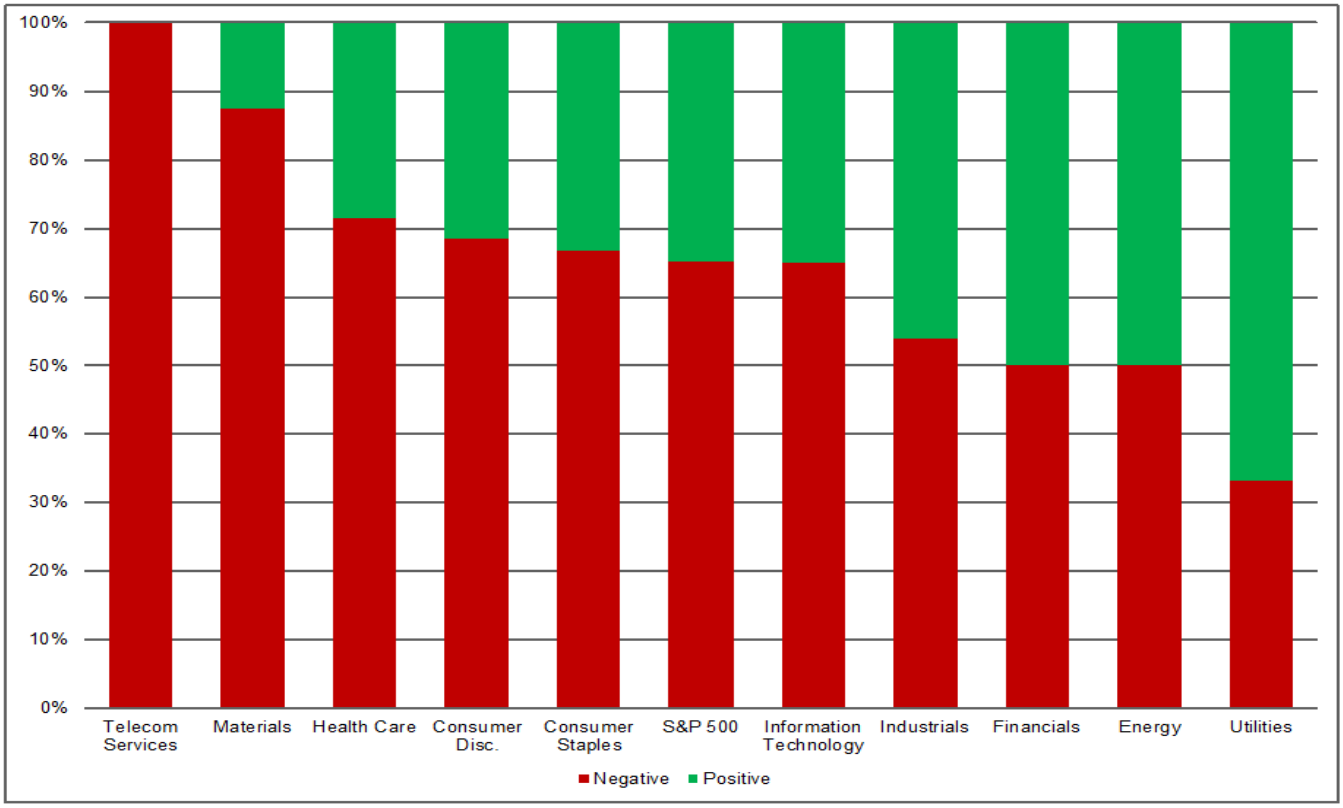
Q3 2011: EPS GUIDANCE

The numbers below reflect the number of companies in the index that have issued positive EPS guidance and negative EPS guidance for Q3 2011. Negative EPS guidance is defined as an EPS estimate (or mid-point of a range) that is below the mean EPS estimate at that time. Positive EPS guidance is defined as an EPS estimate (or mid-point of a range) issued by the company that is above the mean EPS estimate at that time.

Number of Companies Issuing Negative and Positive EPS Guidance

Sector	Negative (#)	Positive (#)	Negative (%)	Positive (%)
Consumer Discretionary	13	6	68%	32%
Consumer Staples	4	2	67%	33%
Energy	1	1	50%	50%
Financials	3	3	50%	50%
Health Care	10	4	71%	29%
Industrials	7	6	54%	46%
Information Technology	24	13	65%	35%
Materials	7	1	88%	13%
Telecommunication Services	1	0	100%	0%
Utilities	1	2	33%	67%
S&P 500	**71**	**38**	**65%**	**35%**

Percentage of Companies Issuing Negative and Positive EPS Guidance



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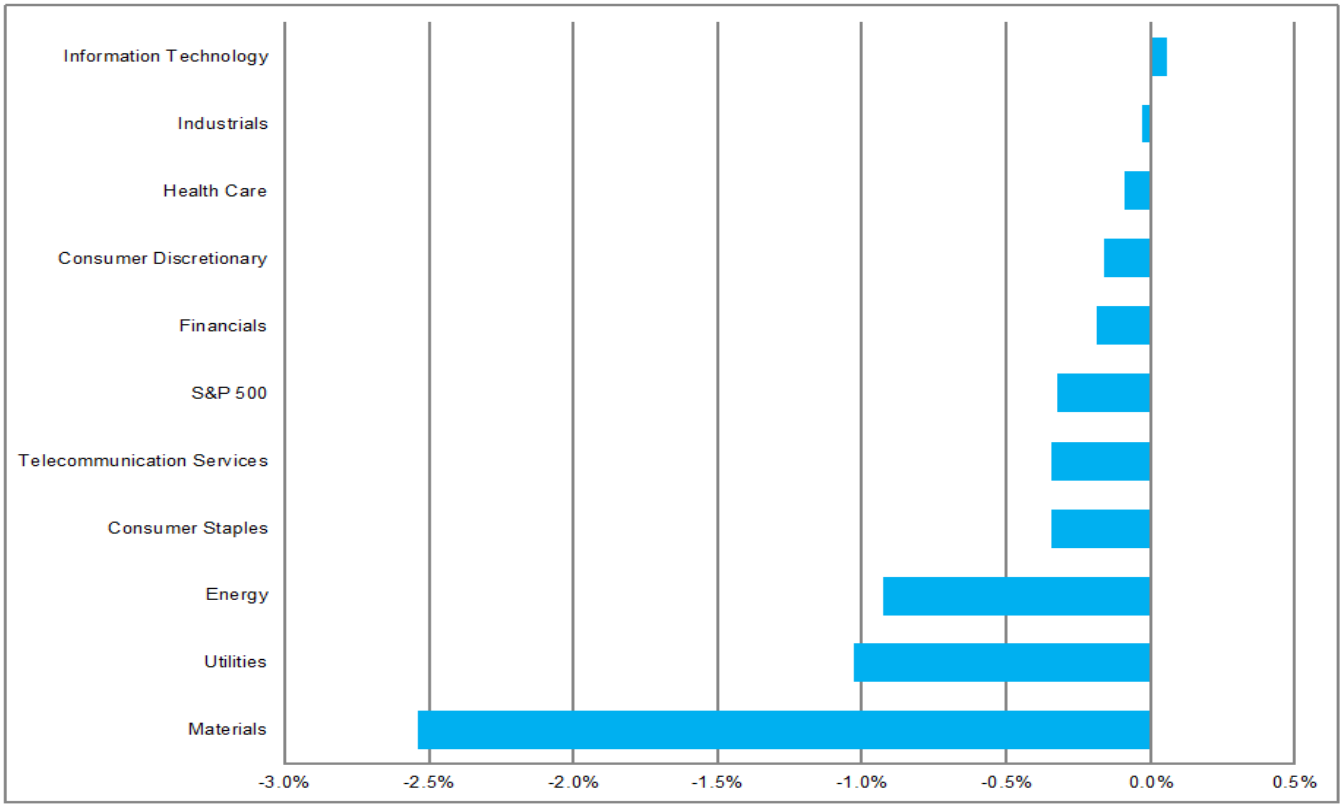
Q4 2011: CHANGE IN DOLLAR-LEVEL EARNINGS:

The numbers below reflect the change in share-weighted earnings for Q4 2011 since September 30. The share-weighted earnings are calculated by multiplying the total shares outstanding by the estimated (or actual) EPS for all companies in the index for a calendar quarter and aggregating the data. The Q4 calendar quarter reflects numbers for companies with a November, December, or January quarter-end.

Q4 2011 Change in Share-Weighted Earnings ($) – Since Sep 30

Sector	7-Oct-11	30-Sep-11	Diff ($)	Diff (%)
Consumer Discretionary	23.2	23.2	0.0	-0.2%
Consumer Staples	25.4	25.4	-0.1	-0.3%
Energy	34.4	34.7	-0.3	-0.9%
Financials	42.1	42.2	-0.1	-0.2%
Health Care	28.0	28.1	0.0	-0.1%
Industrials	24.0	24.0	0.0	0.0%
Information Technology	51.8	51.8	0.0	0.1%
Materials	7.6	7.8	-0.2	-2.5%
Telecommunication Services	4.9	4.9	0.0	-0.3%
Utilities	5.8	5.9	-0.1	-1.0%
S&P 500	**247.3**	**248.1**	**-0.8**	**-0.3%**

Q4 2011 Change in Share-Weighted Earnings (%) – Since Sep 30



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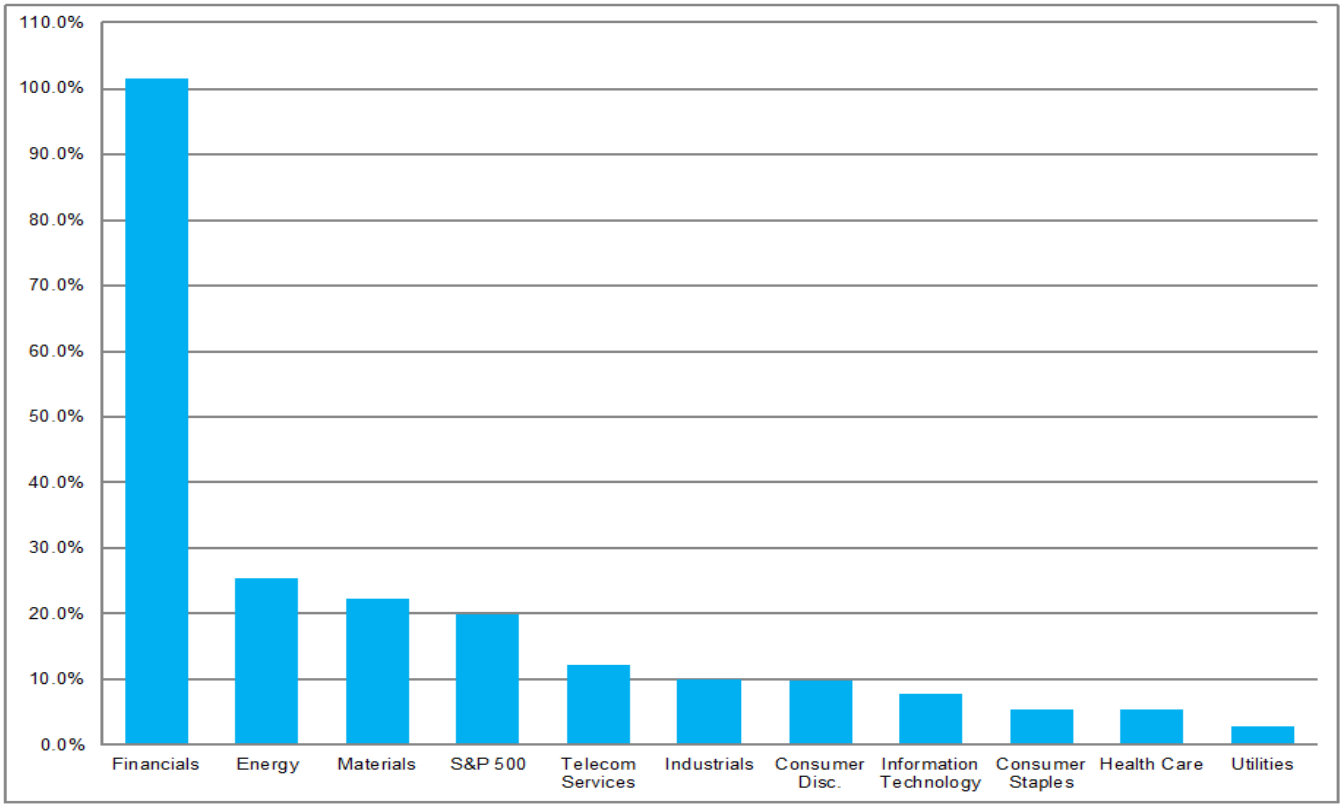
Q4 2011: EARNINGS GROWTH RATES

The Q4 2011 earnings growth rates reflect the aggregate difference in the estimated earnings and year-ago actual earnings for the constituents in the index at the end of the quarter. The EPS numbers are weighted by the total shares outstanding for both periods. The Q4 calendar quarter reflects numbers for companies with a November, December, or January quarter-end.

Q4 2011 Earnings Growth ($)

Sector	Q411	Q410	Diff ($)	Diff (%)
Consumer Discretionary	23.2	21.1	2.1	10%
Consumer Staples	25.4	24.0	1.3	6%
Energy	34.4	27.4	7.0	25%
Financials	42.1	20.9	21.2	101%
Health Care	28.0	26.6	1.5	5%
Industrials	24.0	21.8	2.2	10%
Information Technology	51.8	48.1	3.8	8%
Materials	7.6	6.2	1.4	22%
Telecommunication Services	4.9	4.4	0.5	12%
Utilities	5.8	5.7	0.2	3%
S&P 500	**247.3**	**206.2**	**41.1**	**20%**

Q4 2011 Earnings Growth (%)



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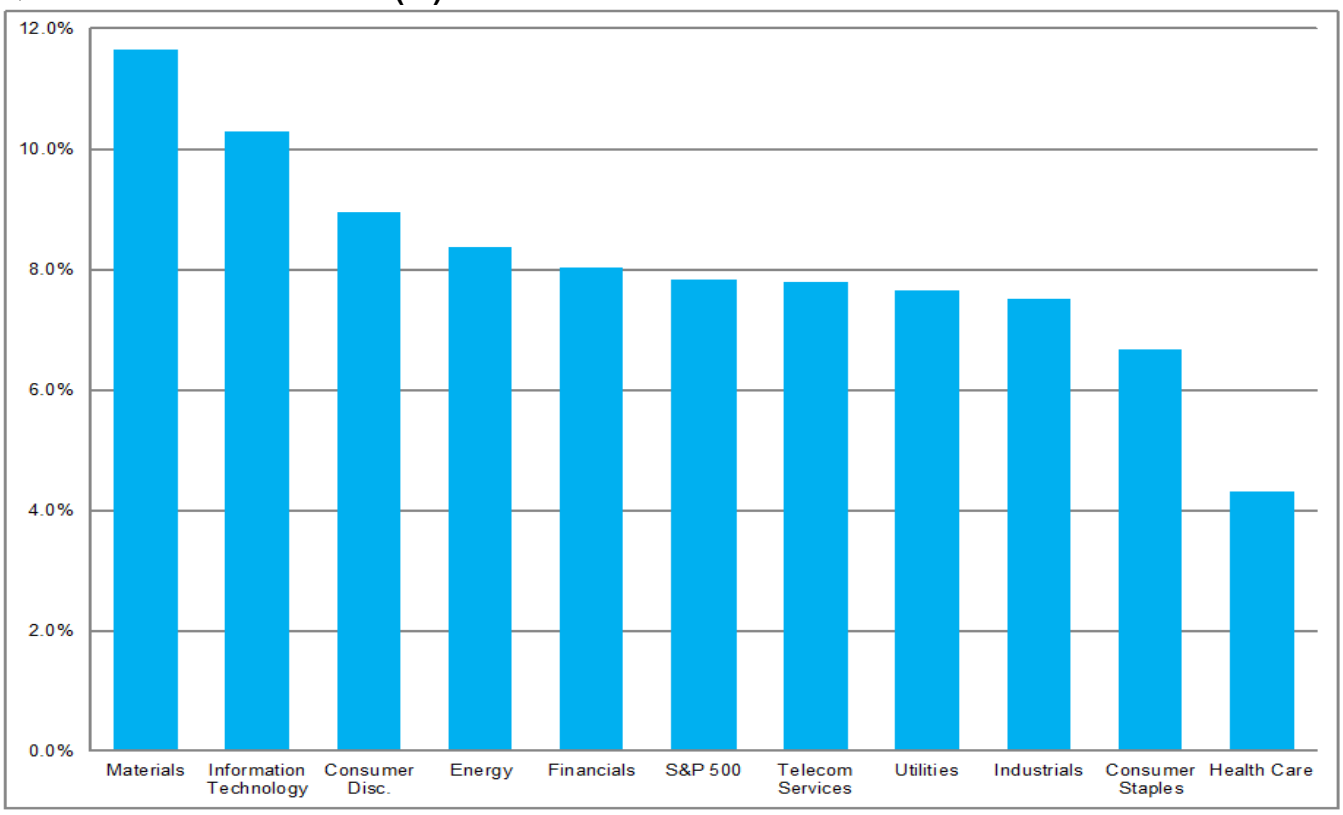
Q4 2011: REVENUE GROWTH RATES:

The Q4 2011 revenue growth rates reflect the aggregate difference in estimated revenues and year-ago actual revenues for the constituents in the index at the end of the quarter. The Q4 calendar quarter reflects numbers for companies with a November, December, or January quarter-end.

Q4 2011 Revenue Growth ($)

Sector	Q411	Q410	Diff ($)	Diff (%)
Consumer Discretionary	351.5	322.6	28.9	9%
Consumer Staples	413.4	387.6	25.8	7%
Energy	375.0	346.0	29.0	8%
Financials	276.7	256.1	20.5	8%
Health Care	296.1	283.8	12.3	4%
Industrials	292.5	272.0	20.4	8%
Information Technology	282.6	256.2	26.4	10%
Materials	93.8	84.0	9.8	12%
Telecommunication Services	77.3	71.7	5.6	8%
Utilities	84.7	78.7	6.0	8%
S&P 500	**2543.5**	**2358.8**	**184.6**	**8%**

Q4 2011 Revenue Growth (%)



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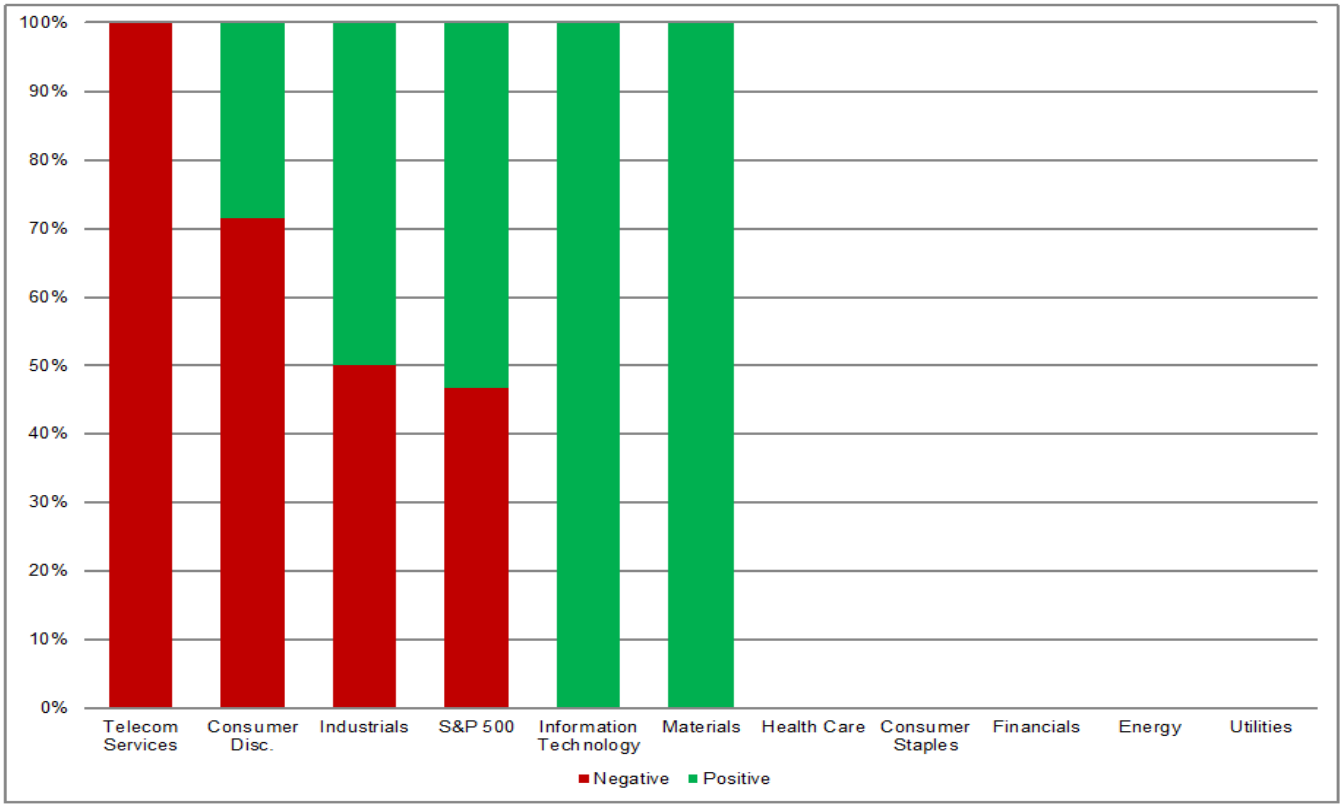
Q4 2011: EPS GUIDANCE

The numbers below reflect the number of companies in the index that have issued positive EPS guidance and negative EPS guidance for Q4 2011. Negative EPS guidance is defined as an EPS estimate (or mid-point of a range) that is below the mean EPS estimate at that time. Positive EPS guidance is defined as an EPS estimate (or mid-point of a range) issued by the company that is above the mean EPS estimate at that time.

Number of Companies Issuing Negative and Positive EPS Guidance

Sector	Negative (#)	Positive (#)	Negative (%)	Positive (%)
Consumer Discretionary	5	2	71%	29%
Consumer Staples	0	0	0%	0%
Energy	0	0	0%	0%
Financials	0	0	0%	0%
Health Care	0	0	0%	0%
Industrials	1	1	50%	50%
Information Technology	0	4	0%	100%
Materials	0	1	0%	100%
Telecommunication Services	1	0	100%	0%
Utilities	0	0	0%	0%
S&P 500	**7**	**8**	**47%**	**53%**

Percentage of Companies Issuing Negative and Positive EPS Guidance



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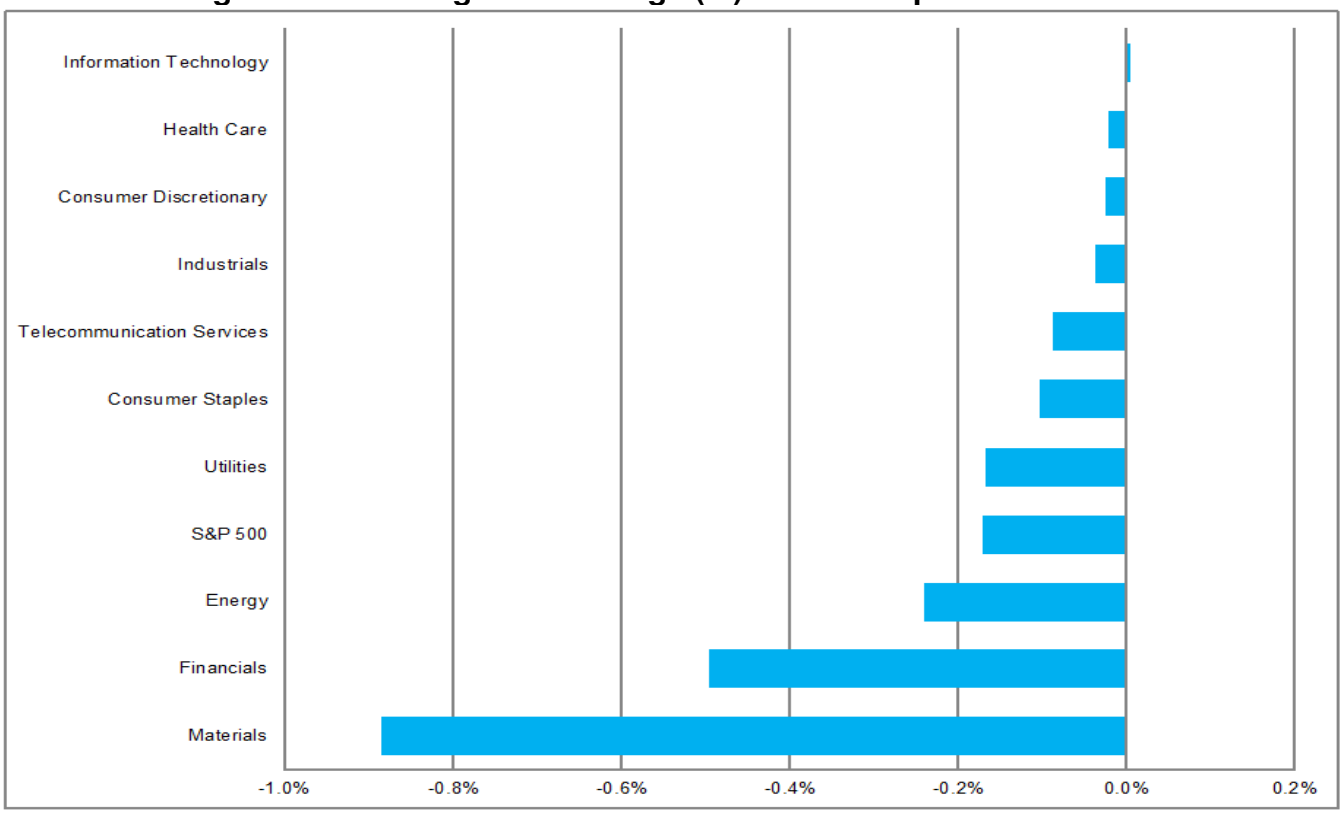
CY 2011: CHANGE IN DOLLAR-LEVEL EARNINGS

The numbers below reflect the change in share-weighted earnings for CY 2011 since September 30. The share-weighted earnings are calculated by multiplying the total shares outstanding by the estimated (or actual) EPS for all companies in the index for the calendar year and aggregating the data. Calendar year estimates are calculated by aggregating pro-rated percentages of two fiscal-year estimates for companies that do not have a fiscal year-end in December.

CY 2011 Change in Share-Weighted Earnings ($) – Since Sep 30

Sector	7-Oct-11	30-Sep-11	Diff ($)	Diff (%)
Consumer Discretionary	83.6	83.6	0.0	0.0%
Consumer Staples	94.3	94.4	-0.1	-0.1%
Energy	134.9	135.3	-0.3	-0.2%
Financials	144.4	145.1	-0.7	-0.5%
Health Care	115.2	115.3	0.0	0.0%
Industrials	89.6	89.7	0.0	0.0%
Information Technology	183.7	183.7	0.0	0.0%
Materials	34.9	35.2	-0.3	-0.9%
Telecommunication Services	20.2	20.2	0.0	-0.1%
Utilities	30.5	30.6	-0.1	-0.2%
S&P 500	**931.3**	**932.9**	**-1.6**	**-0.2%**

CY 2011 Change in Share-Weighted Earnings (%) – Since Sep 30



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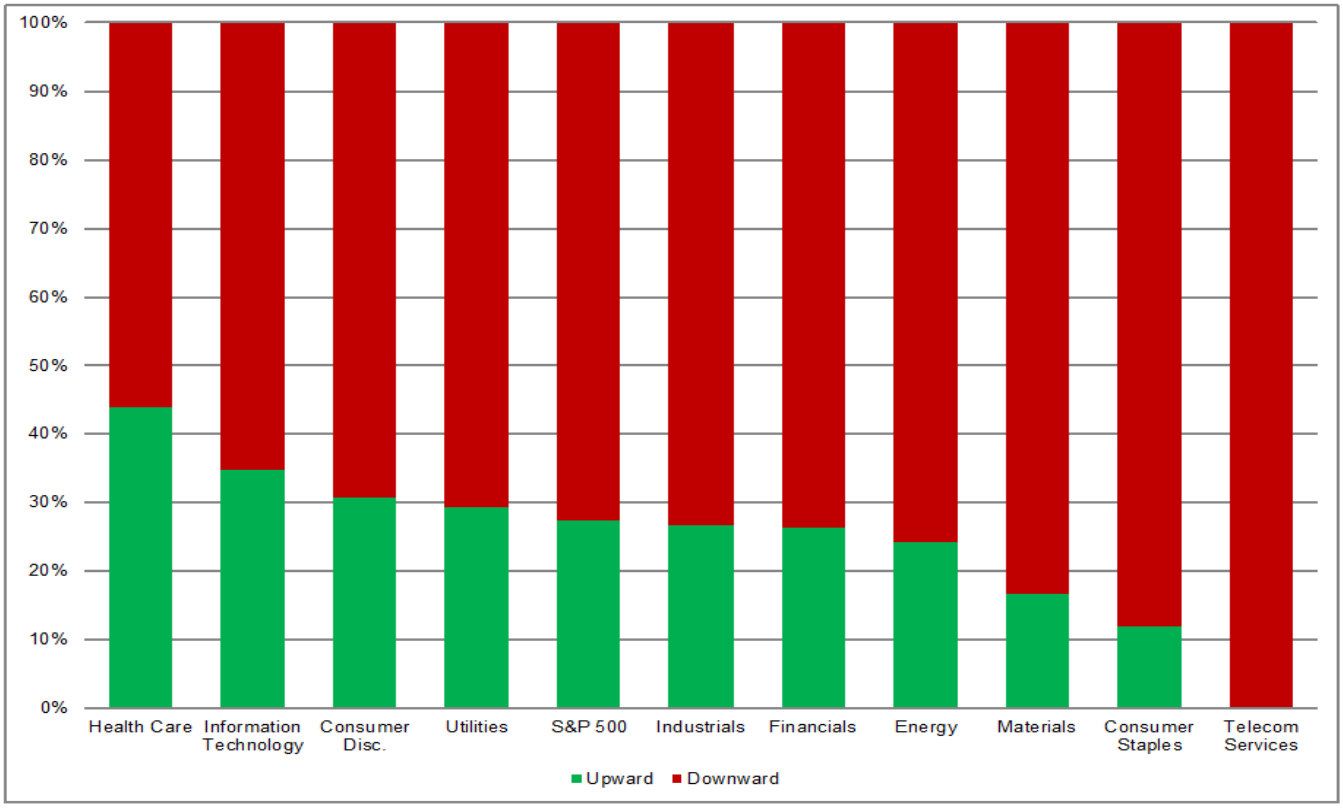
CY 2011: CHANGE IN MEAN EPS ESTIMATES

The numbers below reflect the number of companies in the index that have recorded an increase (upward change) or decrease (downward change) in the mean EPS estimate for CY 2011 over the past month. Calendar year estimates are calculated by aggregating pro-rated percentages of two fiscal-year estimates for companies that do not have a fiscal year-end in December. Actual EPS numbers that are above or below the mean EPS estimate are included as upward or downward changes in the numbers.

Number of Upward & Downward Change (1 Month) in CY 2011 EPS

Sector	Upward (#)	Downward (#)	Upward (%)	Downward (%)
Consumer Discretionary	16	36	31%	69%
Consumer Staples	3	22	12%	88%
Energy	9	28	24%	76%
Financials	14	39	26%	74%
Health Care	14	18	44%	56%
Industrials	11	30	27%	73%
Information Technology	15	28	35%	65%
Materials	4	20	17%	83%
Telecommunication Services	0	7	0%	100%
Utilities	5	12	29%	71%
S&P 500	**91**	**240**	**27%**	**73%**

Percentage of Upward & Downward Change (1 Month) in CY 2011 EPS



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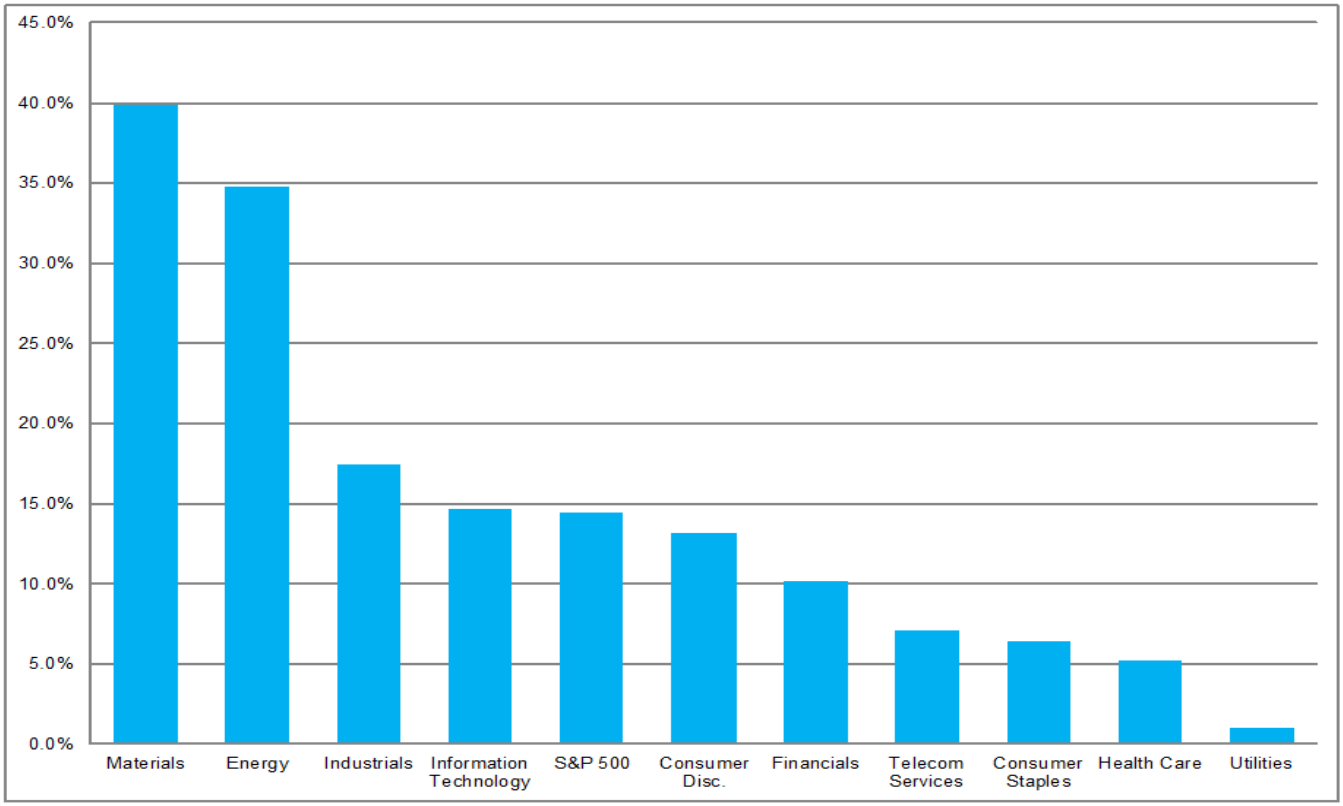
CY 2011: EARNINGS GROWTH RATES

The CY 2011 earnings growth rates reflect the aggregate difference in the blended estimated earnings and year-ago actual earnings for the constituents in the index at the end of the year. The EPS numbers are weighted by the total shares outstanding for both periods. Calendar year estimates are calculated by aggregating pro-rated percentages of two fiscal-year estimates for companies that do not have a fiscal year-end in December.

CY 2011 Earnings Growth ($)

Sector	CY11	CY10	Diff ($)	Diff (%)
Consumer Discretionary	83.6	73.8	9.8	13%
Consumer Staples	94.3	88.6	5.7	6%
Energy	134.9	100.1	34.8	35%
Financials	144.4	131.0	13.3	10%
Health Care	115.2	109.5	5.8	5%
Industrials	89.6	76.3	13.3	17%
Information Technology	183.7	160.1	23.6	15%
Materials	34.9	24.9	9.9	40%
Telecommunication Services	20.2	18.8	1.3	7%
Utilities	30.5	30.2	0.3	1%
S&P 500	**931.3**	**813.4**	**117.9**	**14%**

CY 2011 Earnings Growth (%)



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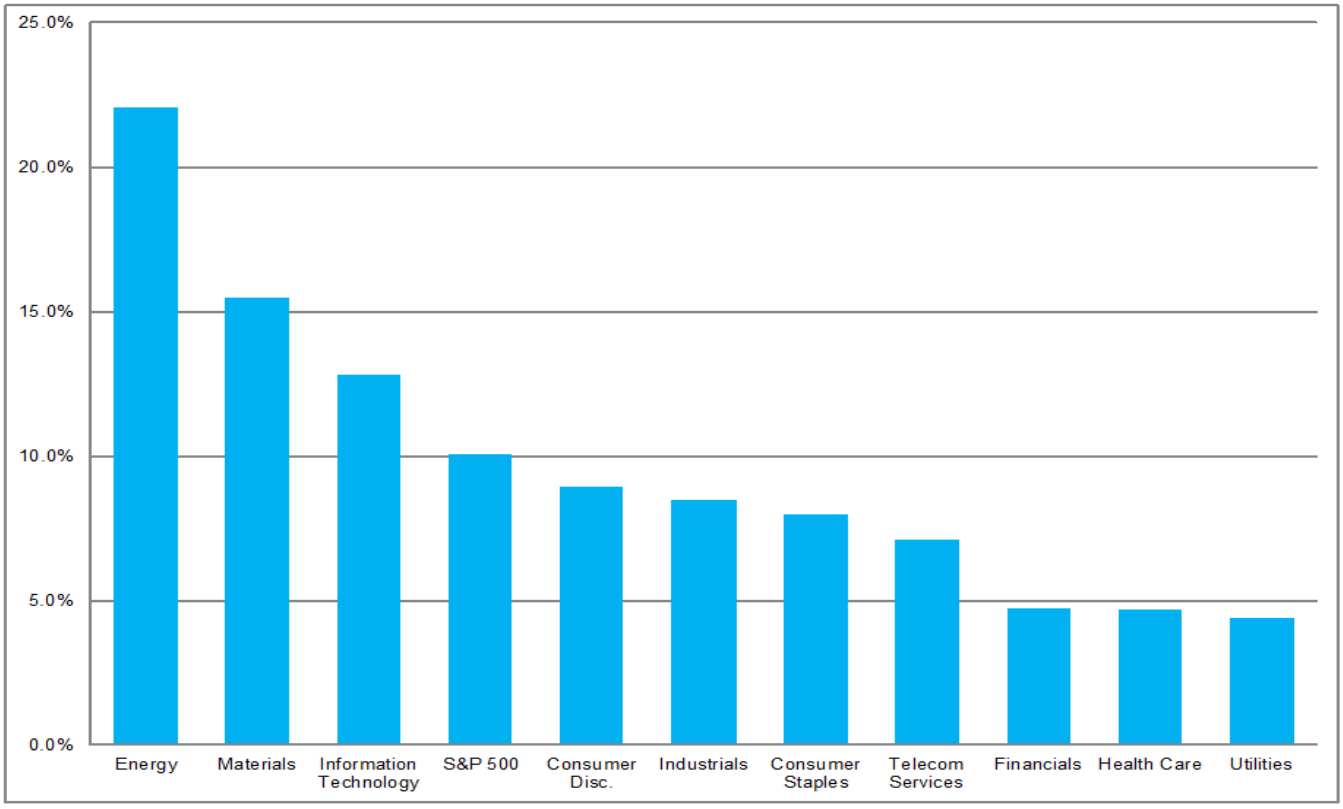
CY 2011: REVENUE GROWTH RATES

The CY 2011 revenue growth rates reflect the aggregate difference between the estimated revenues and year-ago actual revenues for the constituents in the index at the end of the year. Calendar year estimates are calculated by aggregating pro-rated percentages of two fiscal-year estimates for companies that do not have a fiscal year-end in December.

CY 2011 Revenue Growth ($)

Sector	CY11	CY10	Diff ($)	Diff (%)
Consumer Discretionary	1281.1	1175.8	105.3	9%
Consumer Staples	1562.7	1446.7	116.0	8%
Energy	1632.8	1337.6	295.2	22%
Financials	1096.7	1047.1	49.6	5%
Health Care	1158.8	1106.6	52.1	5%
Industrials	1107.4	1020.5	86.9	9%
Information Technology	1040.4	922.2	118.3	13%
Materials	379.3	328.5	50.8	15%
Telecommunication Services	304.3	284.0	20.3	7%
Utilities	344.5	329.9	14.6	4%
S&P 500	**9908.0**	**8998.8**	**909.2**	**10%**

CY 2011 Revenue Growth (%)



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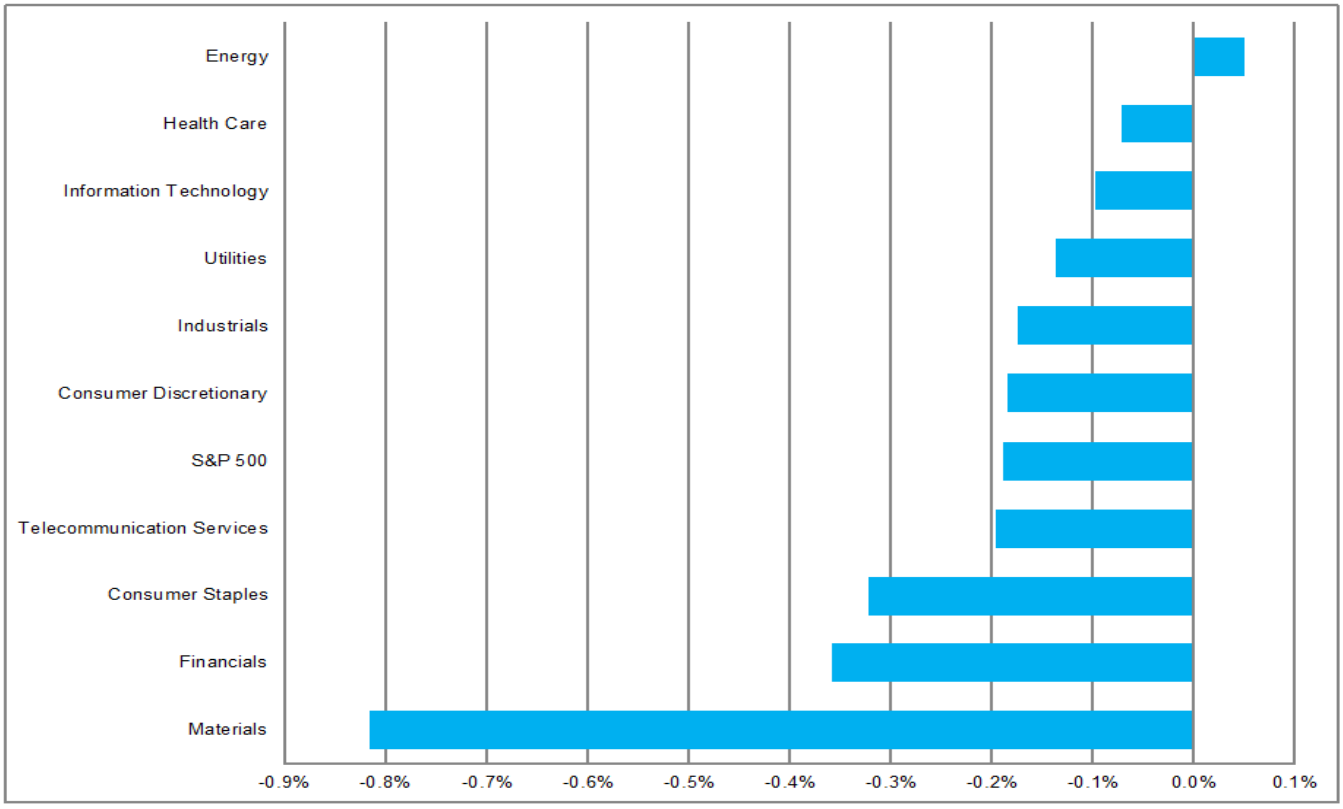
CY 2012: CHANGE IN DOLLAR-LEVEL EARNINGS:

The numbers below reflect the change in share-weighted earnings for CY 2012 since September 30. The share-weighted earnings are calculated by multiplying the total shares outstanding by the estimated (or actual) EPS for all companies in the index for the calendar year and aggregating the data. Calendar year estimates are calculated by aggregating pro-rated percentages of two fiscal-year estimates for companies that do not have a fiscal year-end in December.

CY 2012 Change in Share-Weighted Earnings (%) – Since Sep 30

Sector	7-Oct-11	30-Sep-11	Diff ($)	Diff (%)
Consumer Discretionary	95.5	95.6	-0.2	-0.2%
Consumer Staples	102.9	103.2	-0.3	-0.3%
Energy	146.0	145.9	0.1	0.1%
Financials	186.7	187.4	-0.7	-0.4%
Health Care	121.5	121.6	-0.1	-0.1%
Industrials	103.1	103.3	-0.2	-0.2%
Information Technology	203.4	203.6	-0.2	-0.1%
Materials	39.8	40.2	-0.3	-0.8%
Telecommunication Services	23.1	23.1	0.0	-0.2%
Utilities	30.4	30.5	0.0	-0.1%
S&P 500	**1052.4**	**1054.4**	**-2.0**	**-0.2%**

CY 2012 Change in Share-Weighted Earnings (%) – Since Sep 30



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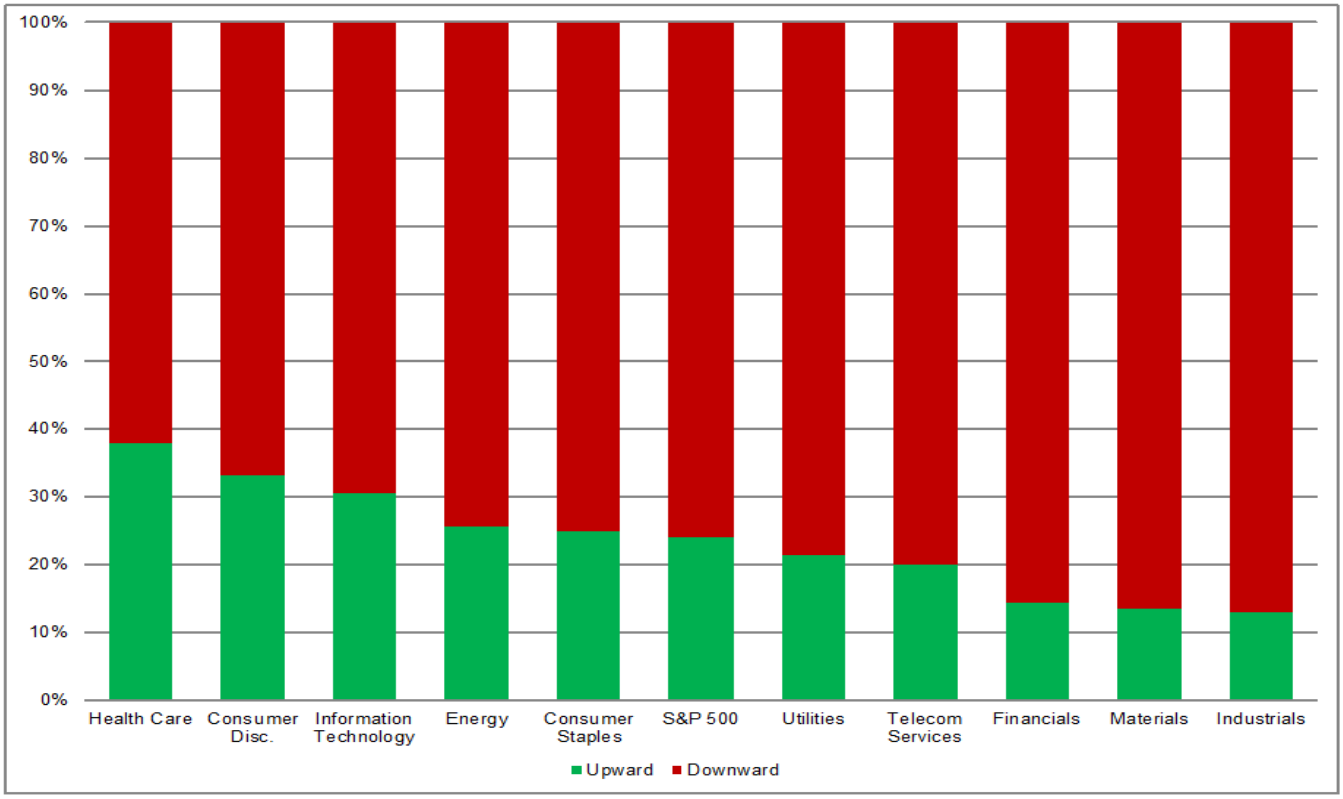
CY 2012: CHANGE IN MEAN EPS ESTIMATES

The numbers below reflect the number of companies in the index that have recorded an increase (upward change) or decrease (downward change) in the mean EPS estimate for CY 2012 over the past month. Calendar year estimates are calculated by aggregating pro-rated percentages of two fiscal-year estimates for companies that do not have a fiscal year-end in December. Actual EPS numbers that are above or below the mean EPS estimate are included as upward or downward changes in the numbers.

Number of Upward & Downward Change (1 Month) in CY 2012 EPS

Sector	Upward	Downward	Upward (%)	Downward (%)
Consumer Discretionary	20	40	33%	67%
Consumer Staples	9	27	25%	75%
Energy	10	29	26%	74%
Financials	10	59	14%	86%
Health Care	16	26	38%	62%
Industrials	7	47	13%	87%
Information Technology	15	34	31%	69%
Materials	3	19	14%	86%
Telecommunication Services	1	4	20%	80%
Utilities	3	11	21%	79%
S&P 500	**94**	**296**	**24%**	**76%**

Percentage of Upward & Downward Change (1 Month) in CY 2012 EPS



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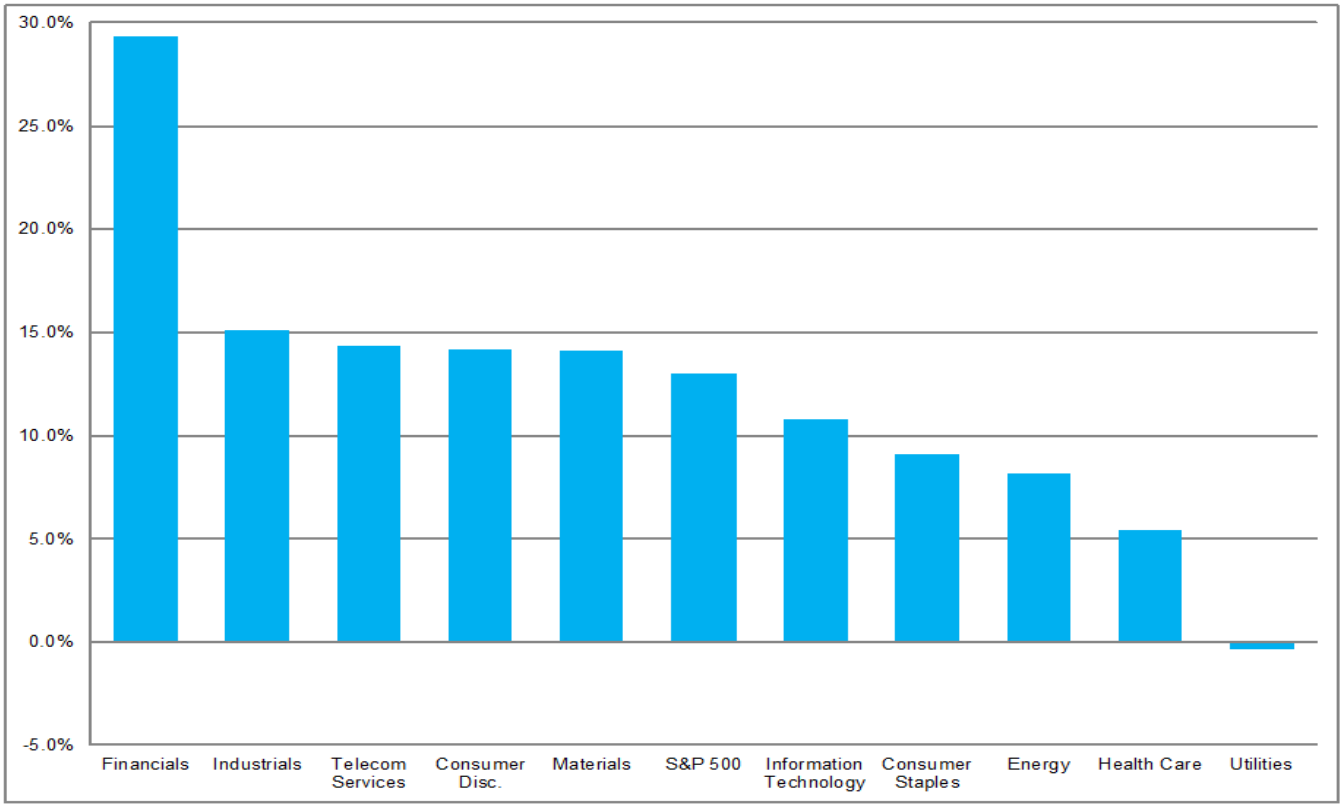
CY 2012: EARNINGS GROWTH RATES

The CY 2012 earnings growth rates reflect the aggregate difference in the blended (actual and estimated) earnings and year-ago actual earnings for the constituents in the index at the end of the year. The EPS numbers are weighted by the total shares outstanding for both periods. Calendar year estimates are calculated by aggregating pro-rated percentages of two fiscal-year estimates for companies that do not have a fiscal year-end in December.

CY 2012 Earnings Growth ($)

Sector	CY12	CY11	Diff ($)	Diff (%)
Consumer Discretionary	95.5	83.6	11.8	14%
Consumer Staples	102.9	94.3	8.6	9%
Energy	146.0	134.9	11.0	8%
Financials	186.7	144.4	42.3	29%
Health Care	121.5	115.2	6.3	5%
Industrials	103.1	89.6	13.5	15%
Information Technology	203.4	183.7	19.7	11%
Materials	39.8	34.9	4.9	14%
Telecommunication Services	23.1	20.2	2.9	14%
Utilities	30.4	30.5	-0.1	0%
S&P 500	**1052.4**	**931.3**	**121.0**	**13%**

CY 2012 Earnings Growth (%)



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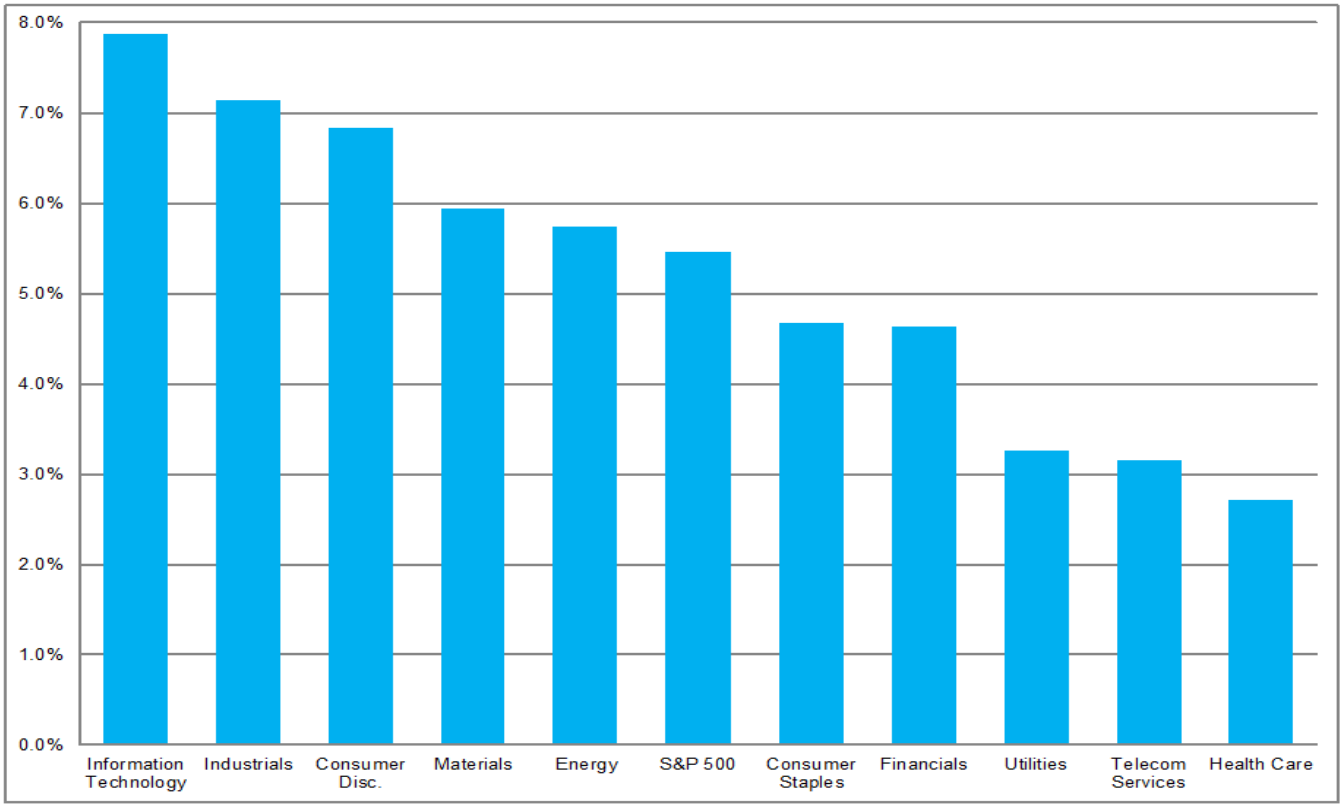
CY 2012: REVENUE GROWTH RATES

The CY 2012 revenue growth rates reflect the aggregate difference in the blended (actual and estimated) revenues and year-ago actual revenues for the constituents in the index at the end of the year. Calendar year estimates are calculated by aggregating pro-rated percentages of two fiscal-year estimates for companies that do not have a fiscal year-end in December.

CY 2012 Revenue Growth ($)

Sector	CY12	CY11	Diff ($)	Diff (%)
Consumer Discretionary	1368.7	1281.1	87.6	7%
Consumer Staples	1635.7	1562.7	73.0	5%
Energy	1726.6	1632.8	93.7	6%
Financials	1147.5	1096.7	50.9	5%
Health Care	1190.3	1158.8	31.6	3%
Industrials	1186.5	1107.4	79.1	7%
Information Technology	1122.4	1040.4	81.9	8%
Materials	401.8	379.3	22.5	6%
Telecommunication Services	313.9	304.3	9.6	3%
Utilities	355.8	344.5	11.3	3%
S&P 500	**10449.2**	**9908.0**	**541.2**	**5%**

CY 2012 Revenue Growth (%)



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